EnCap Investments L.P.

EnCap Energy Capital Fund X

Quarterly Review

As of March 31, 2024

Confidential

ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

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Section I: Summary of Significant Events and Valuation

Activity for the three months ended March 31, 2024

Transactions

Type	#	*$ in millions*
Commitments	0	0.0
Investments	0	0.0
Distributions-Cash	13	340.4

Fund X made no commitment expansions or adjustments to portfolio companies.

Fund X made no investments in portfolio companies.

Fund X received cash distributions from the following portfolio companies ($ in millions):

Distributions:	
OGX IV Quinn Ranch	$ 96.8
PetroLegacy	81.7
EnCap Minerals	59.8
Novo	48.9
Grayson Mill II	19.1
Verdun	9.6
Plains All American	7.8
Advance	7.5
Moda	6.5
Fortis Oklahoma	0.8
Felix II	0.7
Staghorn III	0.7
Staghorn II	0.5
	$ 340.4

Fund Performance Summary ($ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

Date of Initial Investment	*Total Committed*	*Capital Invested*	*Realized Proceeds*	*Unrealized Value*	*Total Value*	*Gross IRR*	*Net IRR*
Mar-15	$ 6,914.8	$ 6,239.0	$ 9,860.5	$ 5,359.0	$ 15,219.5	20.4%	15.7%

Portfolio Status

Fund X

(As of March 31, 2024; $ in millions)

Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
Realized or Substantially Realized Investments								
Southland	Mar-15	$ 465.5	$ 465.5	$ -	$ -	$ -	0.0x	n/a%
Ameredev	May-15	168.3	168.3	514.8	-	514.8	3.1	273.2
Talon III	May-15	13.9	13.9	57.6	-	57.6	4.1	243.5
Grenadier II	May-15	100.8	100.8	145.6	-	145.6	1.4	8.6
Moda	Jun-15	112.4	112.4	182.0	0.7	182.7	1.6	17.0
Staghorn II	Oct-15	164.9	164.9	389.9	4.2	394.1	2.4	154.9
Felix II	Nov-15	335.3	335.3	2,637.9	-	2,637.9	7.9	46.3
Raisa	Apr-16	252.7	252.7	268.1	-	268.1	1.1	1.5
Advance	May-16	435.4	435.4	1,116.3	72.4	1,188.7	2.7	20.7
Novo	Aug-16	491.3	491.3	1,208.8	251.7	1,460.5	3.0	23.7
PetroLegacy	Sep-16	443.3	443.3	1,155.9	7.8	1,163.7	2.6	18.7
Grayson Mill	Oct-16	58.7	58.7	44.8	-	44.8	0.8	(6.3)
Royal Holly	Jan-17	26.2	26.2	8.7	-	8.7	0.3	(46.4)
Fortis Oklahoma	Mar-17	161.3	161.3	174.6	-	174.6	1.1	1.7
Staghorn III	May-17	276.8	276.8	30.0	1.8	31.8	0.1	(32.0)
Olifant	Jun-17	76.2	76.2	11.2	-	11.2	0.1	(64.6)
		3,583.0	**3,583.0**	**7,946.2**	**338.6**	**8,284.8**	**2.3x**	**21.5%**
Unrealized Investments								
Verdun	Jan-16	215.9	207.0	540.9	838.0	1,378.9	6.7	
Plains All American	Jan-16	280.0	280.0	164.3	340.6	504.9	1.8	
OGX IV Quinn Ranch	Jun-16	297.1	257.6	121.3	291.8	413.1	1.6	
EnCap Minerals	Jun-16	732.0	625.1	743.4	1,622.8	2,366.2	3.8	
Ameredev II	Mar-17	685.0	546.4	-	844.6	844.6	1.5	
Mongoose	Apr-17	283.7	136.5	-	13.8	13.8	0.1	
Enduring IV	Jun-17	475.0	298.6	16.5	346.5	363.0	1.2	
Grayson Mill II	Apr-21	196.4	196.4	327.9	598.3	926.2	4.7	
Verdun Austin Chalk JV	Dec-21	100.0	74.0	-	66.4	66.4	0.9	
Grayson Mill III	Jun-23	66.7	34.4	-	57.6	57.6	1.7	
		3,331.8	**2,656.0**	**1,914.3**	**5,020.4**	**6,934.7**	**2.6x**	
		$ 6,914.8	**$ 6,239.0**	**$ 9,860.5**	**$ 5,359.0**	**$ 15,219.5**	**2.4x**	**20.4%**

Note: Amount committed, invested and distributed shown net of $79.3 million recallable bridge loan to Southland.

Comparison to prior quarter
($ in millions)

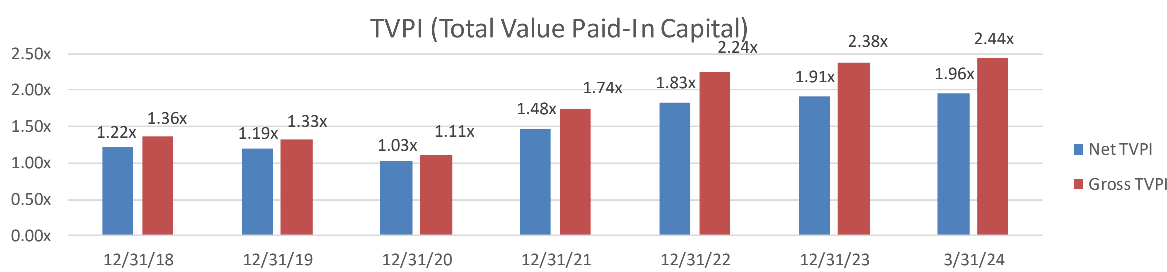
	Valuation 12/31/2023	Valuation 3/31/2024	Q1 2024 Cash Inv. (Distrib.)	Valuation Increase (Decrease)	% Change in Unrealized from 12/31/23	Comments (> $5MM and 5% change)
Staghorn II	$ 4.2	$ 4.2	$ (0.5)	$ 0.5	11.9%	
Staghorn III	1.8	1.8	(0.7)	0.7	38.9%	
Felix II	-	-	(0.7)	0.7	N/A	
Moda	7.3	0.7	(6.5)	(0.1)	-1.4%	
Verdun	728.7	838.0	(9.6)	118.9	16.3%	Increase in oil prices
Plains All American	340.6	340.6	(7.8)	7.8	2.3%	
Advance	79.6	72.4	(7.5)	0.3	0.4%	
OGX IV Quinn Ranch	390.0	291.8	(96.8)	(1.4)	-0.4%	
EnCap Minerals	1,521.9	1,622.8	(59.8)	160.7	10.6%	Increase in oil prices and drilling activity
Novo	278.0	251.7	(48.9)	22.6	8.1%	Increase in oil prices
PetroLegacy	89.5	7.8	(81.7)	-	0.0%	
Ameredev II	850.0	844.6	-	(5.4)	-0.6%	
Fortis Oklahoma	-	-	(0.8)	0.8	N/A	
Mongoose	20.9	13.8	-	(7.1)	-34.0%	Decrease in activity on the asset
Enduring IV	324.1	346.5	-	22.4	6.9%	Increase in oil prices
Grayson Mill II	547.9	598.3	(19.1)	69.5	12.7%	Increase in oil prices and drilling activity
Verdun Austin Chalk JV	69.0	66.4	-	(2.6)	-3.8%	
Grayson Mill III	50.5	57.6	-	7.1	14.1%	Increase in oil prices and drilling activity
	$ 5,304.0	$ 5,359.0	$ (340.4)	$ 395.4	7.5%	

Fund Status

($ in millions)

	12/31/18	12/31/19	12/31/20	12/31/21	12/31/22	12/31/23	3/31/24
Total Commitments	6,701.0	6,701.0	6,701.0	6,701.0	6,701.0	6,701.0	6,701.0
Total Paid-In Capital	5,466.9	6,030.7	6,261.9	6,722.3	6,846.1	6,978.9	6,978.9
Recallable Capital	419.1	442.7	448.6	448.6	471.0	542.4	542.4
% Total Capital Drawn*	75.3%	83.4%	86.8%	93.6%	95.5%	96.3%	96.3%
Remaining Commitment*	1,653.2	1,113.0	887.7	427.3	325.9	264.5	264.5
Investments at Cost	5,084.0	5,600.3	5,801.4	6,169.7	6,231.7	6,239.0	6,239.0
Investments at FMV	6,907.0	7,441.7	6,457.5	10,716.8	13,957.6	14,824.0	15,219.5
Gains (losses) - on unrealized companies	1,190.7	288.5	49.4	2,760.0	4,732.7	3,908.7	4,278.7
Gains (losses) - on realized companies	632.3	1,552.9	606.7	1,787.1	2,993.2	4,676.3	4,701.8
Gross Distributions	1,059.8	1,254.7	1,357.8	3,280.8	5,975.2	9,520.0	9,860.5
Cash Balance	70.3	48.6	75.6	104.3	119.8	74.8	45.8
# of Companies Funded	26	24	25	24	25	26	26
# of repeat teams	14	14	15	9	10	11	11
# of new teams	12	10	10	15	15	15	15
Realized above cost	3	4	5	7	9	11	11
Realized below cost	1	3	4	4	5	5	5
Unrealized above cost	15	11	6	8	10	8	8
Unrealized at cost	1	-	1	-	-	-	-
Unrealized below cost	6	6	9	5	1	2	2
Gross Distributions:							
% of total drawdowns	19.4%	20.8%	21.7%	48.8%	87.3%	136.4%	141.3%
% of committed capital	15.8%	18.7%	20.3%	49.0%	89.2%	142.1%	147.1%
Key Fund Valuation Metrics:							
Gross IRR	21.5%	13.7%	3.9%	16.6%	20.7%	20.2%	20.4%
Gross DPI (Distributions to investment)	0.21x	0.22x	0.23x	0.53x	0.96x	1.53x	1.58x
Gross RVPI (Residual value to paid-in capital)	1.15x	1.10x	0.88x	1.21x	1.28x	0.85x	0.86x
Gross TVPI (Total value to paid-in capital)	1.36x	1.33x	1.11x	1.74x	2.24x	2.38x	2.44x
Net to LPs:							
Net IRR	13.6%	8.4%	1.1%	11.7%	15.7%	15.5%	15.7%
DPI (Distributions to paid-in capital)	0.19x	0.21x	0.22x	0.49x	0.87x	1.35x	1.37x
RVPI (Residual value to paid-in capital)	1.03x	0.99x	0.81x	0.99x	0.96x	0.56x	0.59x
TVPI (Total value to paid-in capital)	1.22x	1.19x	1.03x	1.48x	1.83x	1.91x	1.96x

Historical Fund Performance (TVPI)



* Includes recallable capital

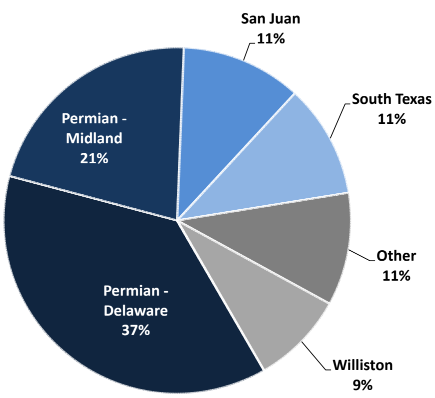
Projected Contributions and Distributions as a Percentage of Commitment

	2024	2025	2026
Contributions	5%	0%	0%
Distributions	30%	30%	20%

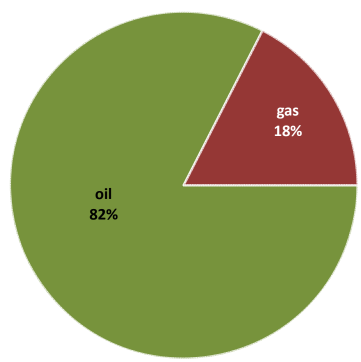
Portfolio Review and Discussion of Recent Transactions

Fund Capital Allocation

Fund X Capital Invested By Basin (Unrealized)

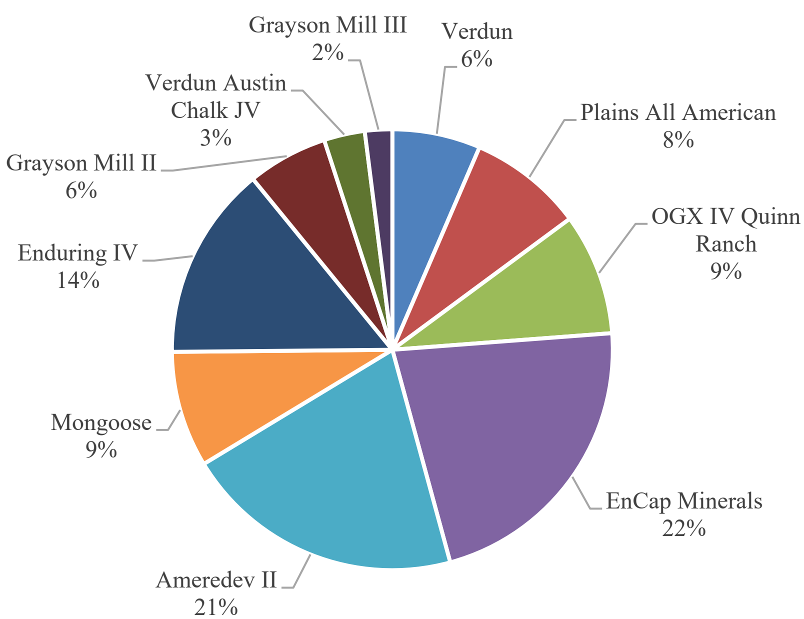


Fund X Oil & Gas Mix (Unrealized - Investment Weighted)



gas @20:1 mcf/bo
NGL's included in oil @0.6bbl/bo

Fund X Unrealized Commitment Concentration



Significant Events and Transactions

Moda	-	Announced the sale of its 50% interest in Vopak Moda Houston, an ammonia logistics hub, to Exolum; transaction closed on January 11, 2024, and represented the company's final remaining asset
Verdun	-	Assembled ~33,600 net acres across the Eagle Ford trend with production performance from operated wells exceeding management's type curve expectations; also amassed a ~59,200 net acre position targeting the Austin Chalk formation
Plains All American	-	Announced quarterly cash dividends on Fund X's preferred equity investment
Advance	-	Received initial $40 million from holdback on April 12, 2024; closed on the sale of a subset of retained minerals assets for ~$7.8 million
Novo	-	Continued to manage portfolio of retained royalty assets; received first holdback release on February 15, 2024
OGX IV	-	Closed on sale of 25% of the mineral interests across the Quinn Ranch to a private buyer for $101.5 million
PetroLegacy II	-	Final monetization of received OVV shares in January 2024
Ameredev II	-	Gas processing plant returned to service in April 2024; plan to run a modest development program in 2024
Mongoose	-	Assembled ~9,500 net acres in Pecos County; assets managed by Forge II
Enduring IV	-	Plan to run a 1 rig program in 2024 with a modest reinvestment rate
Grayson Mill II	-	Continued to execute on a significant capital program while making distributions from operating cash flow
EnCap Minerals	-	Made ~$115 million in distributions ($60 million net to Fund X); current industry activity should translate to growth for the entity in 2024
Verdun Chalk JV	-	Layered on gas hedges in Q4 2023 and restricting production on producing wells in line with hedged volumes
Grayson Mill III	-	Continued running a 1-rig development program in Q1

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q1 2024, EnCap managed Fund X in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our EnCap Sustainability Report available on our FIS DX website.

Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
    a. Management fees
    b. Net operating income (loss)
    c. Realized gains (losses)
    d. Unrealized gains (losses)
    e. Unrealized incentive allocation
    f. Incentive payments to the GP
    g. Contributions paid
    h. Distributions received
    i. Recallable distributions received
    j. Tax withholdings, if applicable
    k. Portfolio company summary cash flows

2. Status of Payout

3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices

2. Quarterly management fee calculations

3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)

    a. Fund organization information
    b. Portfolio company organization information
    c. Portfolio company financial information

4. Supplemental Schedule of Investments

5. All tax reporting

6. Annual audited financial statements

7. Advisory Board presentations

8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed

Section II: Industry Overview

Crude Oil Overview

Crude oil spot prices ("WTI") finished the quarter strong up ~17% QoQ and ~11% YoY, settling at $83.96/Bbl, which was only the second settle above eighty-three dollars since October 2023. Oil prices have remained constructive over the last couple of quarters with the 12-month strip hovering around ~$80/Bbl at quarter-end. The run up in oil prices over the last 2 quarters has mainly been driven by 1) two OPEC+ cut extensions 2) Middle East escalation and failed truce negotiations and 3) a global risk-on mood that could arguably rival any other risk-on rally in history. For the remainder of the year the market will remain focused on 1) global economic data 2) escalating global tensions and 3) OPEC+'s potential tapering of production cuts at its next meeting in June 2024. Current oil prices remain constructive for M&A/A&D activity and 2024 is expected to continue to be a strong year for activity.

Natural Gas Overview

Natural gas spot prices ("Henry Hub") continued to remain very challenged and finished down ~28% QoQ and ~25% YoY. Gas prices are expected to remain challenged during 2024 until LNG projects come online in 2025+. At quarter-end, ~11 Bcf/d of LNG capacity additions (~80% growth) were under construction, with the majority expected to be online over the next couple of years. The gas strip deck reflects this increased capacity with the back of the curve sitting in substantial contango.

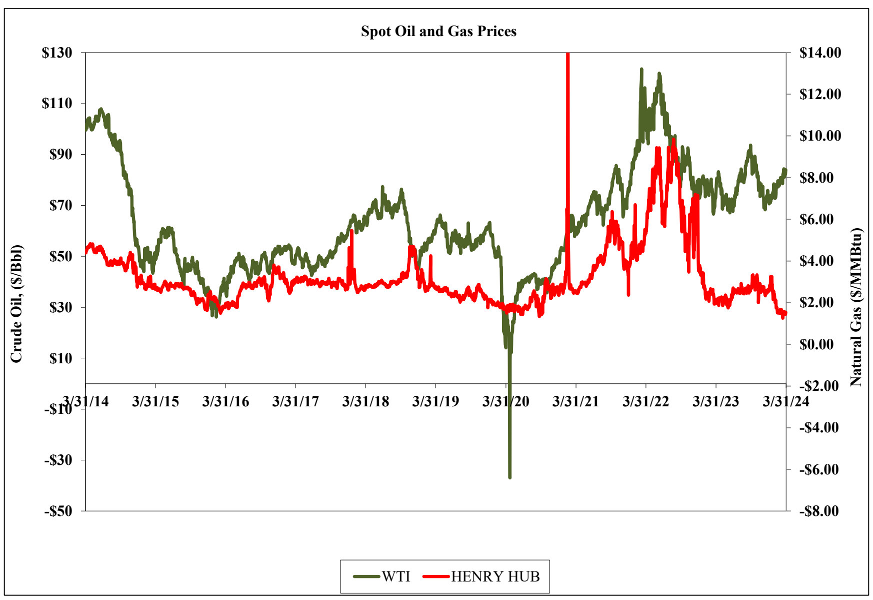


Figure 1: Oil & Gas Spot Prices

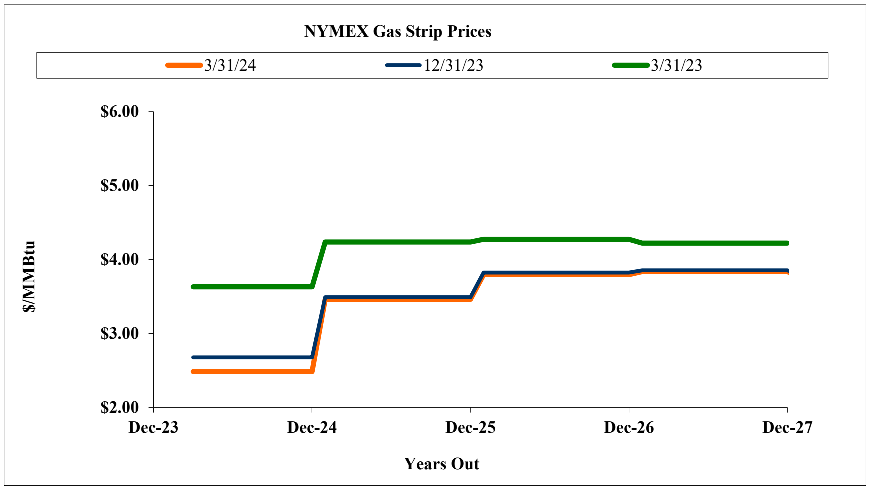


Figure 2: Natural Gas (Henry Hub) Strip Prices

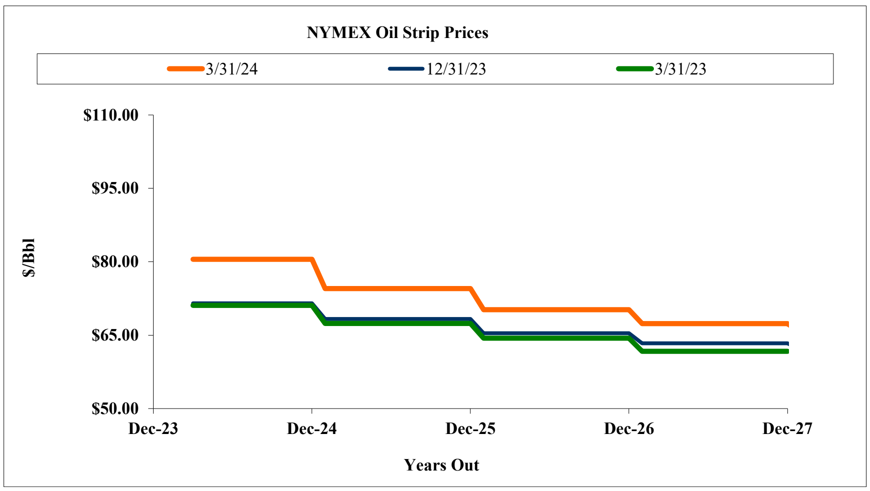


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q1 2024, the total U.S. rig count (as measured by Baker Hughes) was flat QoQ, but down 18% YoY. The U.S. total natural gas rig count finished the quarter at 112 rigs, down from 120 rigs running at the end of Q4 2023. Year-over-year, the U.S. total natural gas rig count finished down 30%. The U.S. total oil rig count was flat during Q1 2024, moving from 500 rigs at the beginning of the quarter to 506 rigs at quarter-end. Year-over-year, the U.S. total oil rig count finished down 15% or ~86 rigs.

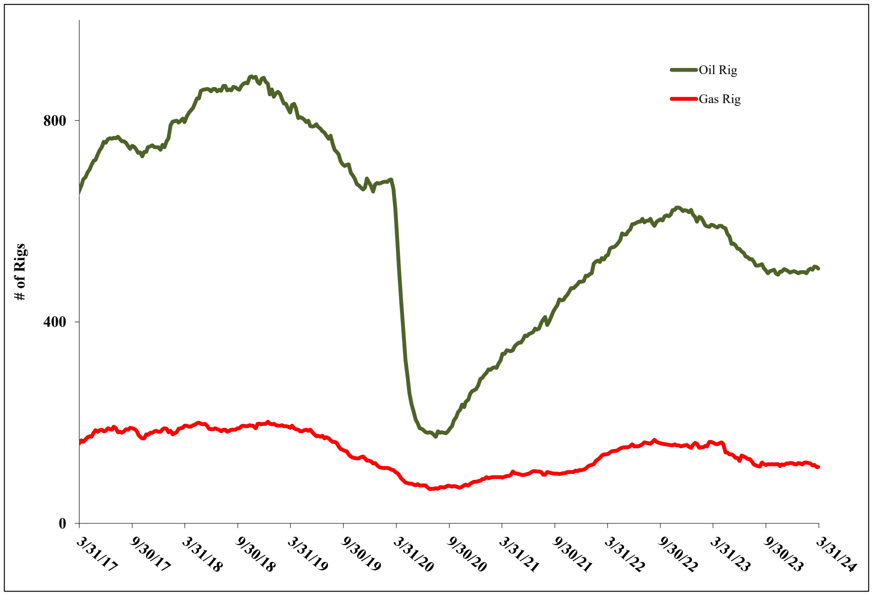


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

Upstream M&A accounted for ~$51 billion in transacted deal value during the quarter, the best first quarter ever. Large scale consolidation in the upstream space continues to be the dominant theme over the last ~12 months. The quarter was headlined by 1) Diamondback's $26 billion purchase of Endeavor and 2) Chesapeake's $11.5 billion purchase of Southwestern. The Permian Basin remained the forefront of deal activity, accounting for ~60% of the total transaction value during the quarter. Corporate consolidation in the upstream space is expected to continue and A&D activity is also likely to pick up over the coming years and consolidators rationalize assets post-merger integrations.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group and National Bank of Canada.

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EnCap Energy Capital Fund X

Section III: Portfolio Companies

Unrealized

1. VERDUN OIL
2. PLAINS ALL AMERICAN PIPELINE
3. OGX HOLDING IV-QUINN RANCH
4. ENCAP MINERALS
5. AMEREDEV II
6. MONGOOSE
7. ENDURING IV
8. GRAYSON MILL II
9. VERDUN AUSTIN CHALK JV
10. GRAYSON MILL III

Realized

11. SOUTHLAND ROYALTY
12. AMERICAN RESOURCE DEVELOPMENT
13. TALON OIL & GAS III
14. GRENADIER ENERGY PARTNERS II
15. MODA MIDSTREAM
16. STAGHORN PETROLEUM II
17. FELIX ENERGY II
18. RAISA ENERGY II
19. ADVANCE ENERGY
20. NOVO OIL & GAS
21. PETROLEGACY ENERGY II
22. GRAYSON MILL ENERGY
23. ROYAL HOLLY
24. FORTIS-OKLAHOMA
25. STAGHORN PETROLEUM III
26. OLIFANT

Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.

2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

   The reserve categories were generally risked as follows:
   a. PDP – no discount applied
   b. PDNP – a 20% discount applied
   c. PUD – a 40% discount applied
   d. Probable – a 80% discount applied
   e. Possible – a 90% discount applied

   The average NYMEX strip prices by year as of March 31, 2024 were as follows:

	$/BO	$/MMBTU
2023	80.49	2.49
2024	74.53	3.46
2025	70.22	3.80
2026	67.36	3.84
2027+	65.52	3.77

   Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued in consideration of the original acquisition price and more recent public or private transactions in similar assets.

3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.

4) Preferred equity investment in PAA valued using the "if converted" method (including accrued PIK units). As of quarter end, PAA was trading below the conversion price so the valuation is held at the $26.25/unit grant price. Additionally, PAA announced it will be paying a quarterly cash distribution of $0.6152/unit to all Series A preferred unitholders.

5) Staghorn II and III remaining value includes mineral acreage and ORRI's, deferred payments and net working capital.

6) Moda is valued based on the expected indemnity holdback per the terms of their sale agreement.

7) Advance is valued based on the expected indemnity holdbacks per the terms of their sale agreement plus NWC.

8) PetroLegacy is valued based on the expected indemnity holdback per the terms of the sale agreement.

9) Novo is valued based on the expected indemnity holdback per the terms of their sale agreement and the remaining mineral acreage and ORRI's valued using a cash flow multiple of actual trailing 12 month cash flow.

Verdun Oil Company LLC

Company Description

Verdun Oil Company LLC is a privately-held, Houston-based oil and gas company that will pursue the identification, acquisition, and development of oil and gas assets in the United States. The company is led by Tim Nein (President), Daniel Savitz (CFO), Mark Stephenson (Geology), Will Rider (Land/Legal), and Martin Perez (Engineering). Mr. Nein most recently served as the General Manager of Hilcorp Energy's ("Hilcorp") Utica asset, where he led all development functions. Mr. Nein, Mr. Savitz, and Mr. Rider formerly worked together in the New Ventures Group at Hilcorp, where they played a meaningful role in evaluating, capturing, and developing substantial positions across premier basins in the United States. Most notably, this team was involved in or an integral part of the evaluation, capture, and ultimate sale of Hilcorp's 141,000 net acre Eagle Ford position to Marathon Oil Corporation (NYSE: MRO) in June 2011 for $3.5 billion. Verdun will implement an acquire and develop strategy with a focus on partially de-risked, statistically proven oil-weighted properties located in South and West Texas. The team will concentrate primarily on making acquisitions with a steady production base in areas with the highest quality rock and a sizeable inventory of repeatable development opportunities located in an industry-friendly environment.

Transaction Summary

In December 2015, Fund X committed $247.5 million to Verdun and management committed $2.5 million, providing a total equity commitment of $250.0 million. The investment is structured in the form of common equity, with Fund X receiving 99% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In August 2016, Fund X committed $190.0 million to PayRock II and management committed $10.0 million, providing a total equity commitment of $200.0 million. The investment is structured in the form of common equity, with Fund X receiving 95% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In December 2019, EnCap closed on the consolidation of PayRock II's Eagle Ford upstream assets under the management of Verdun. The assets consist of ~11,500 net acres in La Salle and McMullen County of the Eagle Ford trend. PayRock II had drilled and completed three Lower Eagle Ford wells in order to delineate and prove up the leasehold position. The combined assets have an unfunded equity commitment of $108.9 million which includes the release of $121.6 million of PayRock II's remaining commitment.

PayRock II Holdings, LLC ("PayRock II") was a privately held, Oklahoma City based independent oil and gas company focused on the acquisition and exploitation of assets within the Anadarko Basin. PayRock II was led by Rick Kirby (CEO), Steve Henley (VP Operations), and Chad Ford (VP Land). EnCap first partnered with PayRock in November 2012 in PayRock I and, through Q2 2016, had invested $135 million in equity to amass ~61,000 net acres in the core of the STACK play in Kingfisher, Canadian, and Blaine counties, Oklahoma, drilled 35 operated wells, and participated in over 65 non-operated wells. On August 1, 2016, PayRock I closed on the sale of their 61,000 net acre position and ~9,000 Boe/d of production to Marathon Oil Corporation (NYSE: MRO) for an all-cash consideration of $887.5 million. Prior to forming PayRock, the team worked together at SandRidge and was involved in the company's initial entry into the Mississippi play where they were responsible for drilling over 250 wells in the area.

Post Investment Activity

In October 2016, Verdun closed on the acquisition of 9,286 net acres and 38 horizontal Eagle Ford wells, collectively producing ~1,785 Boe/d (57% oil, 78% liquids), from Noble Energy, Inc. (NYSE: NBL) for $68.2 million. The acreage was 54% HBP and located primarily in La Salle and Dimmit Counties, Texas. The $68.2 million purchase price was underpinned by $52.6 million of proved undeveloped value. The primary upside identified by management was the increased resource recovery and return potential of the Eagle Ford through the application of modern completions.

In May 2017, Verdun closed on a second Eagle Ford acquisition from Noble Energy including ~1,900 net acres, 573 Boe/d (78% oil) of current production, and approximately $20 million of PDP PV-10 for a $52.0 million upfront cash payment plus a $12.0 million contingency payment if WTI averages at or above $55.00/bbl over three months in the next 18 months. The acreage was 100% HBP and located in the core of the Eagle Ford trend in DeWitt and Gonzales Counties, Texas. Pro forma for this acquisition, Verdun had accumulated approximately 12,700 net acres across the Eagle Ford.

Subsequently, in September 2017, Verdun closed on an Eagle Ford acquisition from BHP including 2,641 net acres, 1,230 Boe/d of current production, and approximately $16 million of PDP PV-10 for $30 million. The acreage was 100% HBP and located in the core of the Eagle Ford trend in Live Oak County, Texas, offsetting Verdun's existing Lopez Ranch acreage. Pro forma for this acquisition, Verdun has amassed approximately 15,340 net acres across the Eagle Ford.

In March 2018, Verdun closed on the acquisition of ~2,200 net acres in the McMullen County oil window from BP (NYSE: BP) for $28.0 million. The majority of the acreage is undeveloped and has a highly attractive ~82% NRI. Subsequently in April 2018, Verdun closed on the acquisition of ~5,500 net acres and ~600 Boe/d of production in Live Oak and Karnes Counties, TX for $110.0 million from ConocoPhillips (NYSE: COP). The acreage is 100% HBP with an average 86% WI and 65% NRI and is oriented in a way that allows for long lateral development.

In October 2018, Verdun executed G&P partnership agreements with Aspen Midstream, LLC ("Aspen"), a portfolio company of EnCap Flatrock Midstream Fund III, to form Aspen Midstream Partners Holdings ("AMP") which will initially be owned 100% by Aspen and subject to Verdun's option to acquire up to 25% by July 2019. Aspen Management is engaged in commercial discussions with various third party producers and has commenced the initial design and construction of a rich/lean gas gathering and treating system, a residue gas pipeline ("AMP Intrastate Pipeline") connecting the gathering system to a gas storage and distribution hub in Katy, Texas and purchased a processing plant ("Battle Horse Plant").

In December 2019, Verdun signed a PSA to acquire PayRock II Holdings LLC, a Fund X company, for $6.0 million. The assets included approximately 11,000 net acres in the Eagle Ford with PDP PV-10 of $6.0 million. The acquisition was funded by a subordinated unsecured note issued by EnCap Fund X.

In Q2 2020, Verdun signed an agreement with EnCap to manage Protégé's Eagle Ford assets on behalf of Fund IX. Protégé will pay to Verdun a management fee of $3 MM a year, with annual redeterminations going forward.

Prior to the commodity price downturn, Verdun had positioned the company to make distributions to equity holders within cash flow. Management made their first distribution in Q4 2019 and two distributions prior to suspending the program in response to low prices. In Q4 2020, after sufficiently reducing leverage, Verdun restarted their distribution program.

Recent Events

Verdun continues to develop its extensive asset base within cash flow. We expect Verdun to continue to make distributions while maintaining a modest leverage profile.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-16	$207,000	$540,946	$838,034	$1,378,980	6.66x	N/A

Plains All American Pipeline, L.P. (NYSE: PAA)

Company Description

Plains All American Pipeline, L.P. ("PAA") is a publicly-traded master limited partnership headquartered in Houston, Texas that owns and operates midstream energy infrastructure and provides logistics services for crude oil, natural gas liquids ("NGL"), natural gas, and refined products. PAA owns an extensive network of pipeline transportation, terminalling, storage, and gathering assets in key crude oil and NGL producing basins and transportation corridors, and at major market hubs in the United States and Canada. The PAA management team and EnCap have a long-standing relationship and a history of successful investments. In 1998 and 1999, EnCap Fund III invested $49.5 million in Plains Resources through two redeemable convertible preferred offerings on which EnCap Fund III realized a 2.4x ROI. In 2001, EnCap Fund III invested $26.6 million in PAA in exchange for a 9% interest in PAA's general partner and 850,000 subordinated units in PAA on which EnCap Fund III realized a 6.6x ROI. Additionally, EnCap Fund V acquired 2.1% of PAA's general partner for $9 million, and in 2006, EnCap Fund V acquired 117,000 common units for $5.8 million. EnCap Fund V realized a 5.0x ROI on these investments. Further, Gary Peterson, an EnCap Managing Partner and Founder, has served on the Board of PAA since EnCap Fund III's investment in PAA's general partner in 2001.

Transaction Summary

In January 2016, PAA management offered EnCap the lead investor role in a $1.6 billion perpetual convertible preferred equity offering, of which EnCap Fund X and EnCap Flatrock Fund III were each allocated $285 million ($280 million purchase price). The proceeds will be used to fund the majority of a multi-year growth capex program that is heavily underpinned by minimum volume commitments or similar contractual support and will be focused on the most economic resource plays in North America. The preferred units will pay quarterly distributions at an annual rate of $2.10 per unit; however, PAA has the option to pay distributions in-kind until December 31, 2017. Additionally, the units are convertible at the holders' option into PAA common units on a one-for-one basis after two years and are convertible at PAA's option under certain circumstances after three years. EnCap views this transaction as an excellent opportunity to invest behind one of the best management teams in the energy industry controlling the largest crude-centric MLP with a leading position in North America's best resource plays.

Post Investment Activity

In January 2023, EnCap, EFM, and the other investors elected to exercise their one-time option to reset the annual rate to 9.375% from 8.0%. This option was negotiated in the original notes purchase agreement and will increase the annual distribution from $2.10 per unit to $2.46 per unit.

For further information about Plains All American please reference publicly disclosed information found at the Company website: http://www.plainsallamerican.com/

Recent Events

PAA will continue to make quarterly cash dividends ($7.8 million net to Fund X) on Fund X's preferred equity investment.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-16	$280,000	$164,275	$340,613	$504,888	1.80x	N/A

OGX Holding IV, LLC-Quinn Ranch

Company Description

OGX IV is a privately held Midland based independent oil and gas company focused on acquiring and exploiting oil and gas properties in the Permian Basin. OGX was founded by Richard Coats and Frank Agar in October 2002. Both individuals each have over 25 years of experience as independent owners and operators of oil and gas properties in the Permian Basin. The team initially partnered with EnCap Fund V in 2006 and subsequently sold the majority of its assets to Legend Natural Gas III in March 2008 for approximately $173.5 million in cash, providing a 2.8x ROI and 92% IRR on Fund V's $32.2 million investment. The team then partnered with EnCap Fund VII in 2008 and pursued a drill bit growth strategy in the Permian Basin. OGX II was substantially realized through three separate transactions, generating $331.7 million in cash for Fund VII or a 3.3x realized ROI to date on $101.0 million invested. OGX II has additional stub value in minor unrealized assets which will enhance the overall returns to Fund VII. OGX III was founded in January 2015 and has invested substantially all of its $500.0 million total commitment capturing an attractive minerals portfolio in the core of the Midland and Delaware basins, which remains unrealized. Given OGX III's limited capacity for incremental investment, OGX IV was formed in August 2016 to pursue additional opportunities. The OGX IV management team is led by the same management team as OGX III, which includes the OGX founders, Richard Coats and Frank Agar, and Austin Campbell and Brendan Fikes, two seasoned mineral acquirers with strong track records in value creation in the Permian Basin. OGX IV will maintain the same dual-track strategy of 1) acquiring mineral interests in the Midland and Delaware basins and 2) aggregating and developing unconventional exploration and production opportunities throughout the Permian Basin.

Transaction Summary

Fund X formed a limited liability company with OGX IV in August 2016, committing $240.0 million. The management team committed $10.0 million providing total capital committed of $250.0 million to the company. In Q4 2017, the total equity commitment was expanded to $500.0 million, comprised of $480.0 million from Fund X and $20.0 million from management. The investment takes the form of common equity with Fund X receiving 96% of the available cash flow until an 8% IRR and a 1.0x ROI is earned, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. All exploration and production assets will be held in OGX Holdings IV, LLC, while for tax purposes mineral related interests will be held in Santa Elena Minerals IV, LP (both entities collectively referred to as "OGX IV"). EnCap holds a majority position on the Board of Managers.

In June 2021, OGX IV contributed the entirety of its Permian mineral portfolio outside of Quinn Ranch (~18,400 net royalty acres) to EnCap Minerals in exchange for 16.7% ownership in the pro forma entity. OGX management was bought out of its interests in these contributed assets, and Fund X holds this equity ownership directly. OGX management retained its ownership interests in the separate entity, "OGX Holding IV, LLC-Quinn Ranch", which is legally named Morita Ranches Holdings, LLC. The investment takes the form of common equity with Fund X receiving 96% of the available cash flow until an 8% IRR and 1.0x ROI is earned, and thereafter distributed are allocated on a graduated basis until higher IRR and ROI targets are met. A subset of the former OGX management team is managing this entity with minimal overhead to maximize value from the surface and minerals of the Quinn Ranch. EnCap holds a majority position on the Board of Managers of the new go forward entity.

Post Investment Activity

In September 2017, the company agreed to acquire 50% of the mineral interests owned by the Quinn family under the Quinn Ranch in southwest Howard County for $122.5 million. The Quinn Ranch represents one of the largest, concentrated, and undeveloped blocks in the core of the Midland Basin, allowing for efficient development with long laterals and centralized surface facilities. At the time of the transaction, the leasehold was tied up in litigation between Endeavor and Energen (Diamondback), and the deal was structured with an initial $25 million down payment with the balance due upon resolution of the lawsuit.

This lawsuit was finalized in Q2 2021, and the company funded the remaining $97.5 million due under this contract in June 2021.

In June 2019, the company agreed to acquire the remaining 50% of the mineral interests owned by the Quinn family, as well as 100% of the (11,400 surface acres), for total consideration of $170.0 million. Currently, the company holds ~17,600 net royalty acres and the entirety of the surface across the Quinn Ranch, which Endeavor now operates.

In June 2021, OGX IV contributed all of its Permian mineral portfolio outside of the Quinn Ranch (~18,400 net royalty acres) to EnCap Minerals in exchange for 16.7% ownership in the pro forma entity.

Recent Events

In December 2023, EnCap signed a PSA to sell 25% of its mineral interests in the Quinn Ranch to a private buyer for $101.5 million with the potential to generate additional earn-out payments through year-end 2025. The $406 million 8/8ths sales price translates to $22,500/NRA. The transaction closed in January 2024, and EnCap received ~$95 million net to Fund X's 96% ownership. EnCap believes this transaction represented an attractive way to further de-risk the investment for Fund X at a solid valuation while retaining significant upside in the mineral interests and 100% of the surface interests.

During the quarter, Endeavor, which is in the process of being acquired by Diamondback, recently brought 12 horizontals wells online in a half section (~13% NRI post sell-down) targeting the Jo Mill, Lower Spraberry, Dean, Wolfcamp A, and Wolfcamp B horizons.

Valuation ($000's)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-16	$257,576	$121,272	$291,798	$413,070	1.60x	N/A

EnCap Minerals, LLC

Company Description

EnCap Minerals, LLC ("EnCap Minerals") was formed in June 2021 with the consolidation of core Permian mineral assets from multiple EnCap portfolio companies held in Fund IX (OGX III), Fund X (Fortis I, Fortis II, Fortis III, OGX IV), and Fund XI (OGX V, Pegasus I). Each entity received equity ownership in the new EnCap Minerals platform in exchange for the assets contributed, resulting in Fund IX, Fund X, and Fund XI owning 9.8%, 52.5%, and 36.6% of EnCap Minerals, respectively. The balance of the ownership, 1.1%, rests with the current management investors in Pegasus I. EnCap Minerals holds a premier portfolio of 125,000 core net royalty acres in the Permian Basin (60% Delaware Basin and 40% Midland Basin) with diversified and highly undeveloped assets positioned for future organic growth with no capital requirements.

EnCap Minerals is managed by the Pegasus team pursuant to a Management Services Agreement. Overhead is allocated to EnCap Minerals, Pegasus II, and Pegasus III using a methodical approach that is reviewed and approved by EnCap. As part of the consolidation, EnCap formally separated ties with the Fortis and OGX/Santa Elena teams, but several management members were retained to bolster the go-forward management team. Overall, we believe the consolidation of assets under EnCap Minerals will meaningfully reduce overhead, enhance distributions, and provide scale that will create differentiated opportunities for value creation and an ultimate monetization. EnCap Minerals will closely monitor the markets for a potential IPO, outright sale, or additional consolidation opportunities with other large private mineral interests using equity consideration.

Transaction Summary

In June 2021, EnCap Minerals was formed with the consolidation of core Permian interests. The existing remaining commitments of the Fund IX (OGX III) and Fund X (Fortis I, Fortis II, Fortis III, OGX IV) entities involved in the consolidation were carried over to EnCap Minerals to provide for additional future flexibility should a considerable deal arise requiring a cash component (subject to Advisory Board approval given the Funds involved).

The management interests of Fortis III, OGX III, OGX IV, and OGX V were fully repurchased prior to the consummation of EnCap Minerals, and the EnCap Funds hold the common equity interests directly related to these investments. The original management incentive structures remain for Fortis I, Fortis II, and Pegasus I, which are subject to an 8% IRR on original invested capital. Thereafter distributions are allocated on a graduated basis as certain ROI targets are met. EnCap holds a majority position on the Board of Managers for EnCap Minerals.

Recent Events

The EnCap Minerals portfolio has realized significant organic growth through ongoing and increased industry activity across its position in the Permian Basin. Nearly half of all Permian rigs have been running on EnCap Minerals' position over the past few quarters. As such, we anticipate continued production growth in 2024 based on current activity levels.

In 1Q 2024, EnCap Minerals made ~$115 million in distributions ($42 million to Fund XI, $60 million to Fund X, and $11 million to Fund IX). For FY 2023, EnCap Minerals made approximately $480 million in distributions net to funds XI, X, and IX and will continue to make monthly distributions on an ongoing basis.

Valuation ($000's)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-16	$625,076	$743,356	$1,622,777	$2,366,133	3.79x	N/A

Ameredev II, LLC ("Ameredev II")

Company Description

Ameredev II, LLC is a privately-held, Austin-based independent oil and gas company focused on the identification, acquisition and development of oil and gas assets within the U.S. The Ameredev II management team is led by Parker Reese (President), Floyd Hammond (VP-Operations), Eric Rhoden (VP-Geology), Noah Bramble (Land Manager), and Ron Zboril (CFO). Mr. Reese was formerly with Three Rivers Operating Co., where he played an active role in evaluating, capturing and developing their Permian position which, through accretive acquisitions and strategic sales, ultimately resulted in a ~3.0x ROI for its investors. Previously, Mr. Reese was employed by Cimarex Energy and ConocoPhillips where he gained valuable experience in the Delaware Basin, Anadarko Basin and Gulf Coast. The team shares a similar mindset with EnCap relative to risk management, capital allocation and opportunity capture. The team initially partnered with EnCap Fund X in May 2015 through Ameredev I and subsequently sold the majority of its assets to Callon Petroleum ("Callon") in December 2016 for $615.0 million in cash, providing a 2.7x ROI at closing on Fund X's $168.3 million invested.

Transaction Summary

In February 2017, Fund X committed $388.0 million and management committed $12.0 million, providing a total equity commitment of $400.0 million to the company. The investment is structured in the form of common equity with Fund X receiving its pro-rata percentage of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. In Q3 2018, the total equity commitment was increased by $300.0 million, comprised of $297.0 million from Fund X and $3.0 million from management, providing a total equity commitment of $700.0 million to the company.

Post Investment Activity

Shortly after inception, management identified the over-pressured oil window in the Northern Delaware Basin in Southeast Lea County, New Mexico as a focus area for the company. The Ameredev team decided to focus on this area of the Delaware because: (i) the team felt as if they had a strong understanding of the subsurface risk given that this area possesses similar geologic characteristics to the position they had built to the South in Ameredev I, (ii) the industry as a whole was continuing to delineate and move the play boundaries of the Delaware in this area to the East which provided a decent amount of well control to help give the team confidence in the overall reservoir quality, and (iii) both the regulatory environment in New Mexico and the early stage of overall development in the area had resulted in limited activity/focus by other operators which provided numerous potential entry opportunities that did not exist in other areas of the Delaware Basin.

In 1H 2017, Ameredev II acquired ~11,500 net acres in the Northern Delaware Basin in Southeast Lea County, NM through a mixture of grassroots leasing and non-marketed deals. Ameredev II previously owned ~2,000 net acres in Loving County, Texas where the team had drilled two highly economic Wolfcamp wells. Given the stranded nature of the tracts, and in an effort to focus its full efforts on Lea County development, management solicited bids for the acreage. In Q3 2018, Ameredev sold the remainder of its Loving County acreage. Proceeds from the sale were used to pay down debt and to fund future Lea County development.

Altogether, Ameredev II has acquired ~33,700 net acres to date in the Northern Delaware Basin at an attractive cost basis through over 40 separate transactions and grassroots leasing efforts. This acreage is largely contiguous with extremely favorable lease terms including high NRIs, long-term leases, and limited near-term drilling obligations. Offset operators such as ConocoPhillips, EOG, and Devon, amongst others, are actively developing in and around Ameredev II's position and have helped delineate multiple formations through strong preliminary results.

Recent Events

In April 2024, Ameredev's primary gas processing outlet returned to service, allowing the company to flow volumes near full capacity. The company is in the process of completing 7 DUCs, with first production anticipated this summer. Subsequently, Ameredev will complete its remaining 6 DUCs and begin a modest development program in the second half of the year.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-17	$546,400	$0	$844,575	$844,575	1.55x	N/A

Mongoose Energy Holdings, LLC

Company Description

Mongoose is a privately-held, Tulsa-based oil and gas company focused on building an acreage position in the core or low-risk extentional area of a proven basin, with an initial focus on the Delaware Basin. The team will seek to build an acreage position through small acquisitions and greenfield leasing in core areas that are overlooked and in extensional areas that it believes have the geologic characteristics required to become core areas. The company is led by a group of five executive team members comprised of key members of Samson Energy's New Ventures group, including Stephen Ferguson (CEO), Steve Widner (President / VP – Land), Kirk Harlton (VP – Geology), Kale Wallace (VP – Engineering), Ryan Heatly (VP – Operations), and Todd Coker (CFO). Each team member has garnered significant industry experience and expertise through their roles at Samson Energy as well as other large operators including Samson Resources, Conoco, ExxonMobil, Southwestern Energy, RBC, and Halliburton. Each management team member will play an integral role in Mongoose's decision making process given their highly complementary skill sets and established working relationships from their prior roles managing Samson's New Ventures group.

Transaction Summary

In April 2017, Fund X committed $298 million to Mongoose and Management committed $2 million, providing a total equity commitment of $300 million. The investment is structured in the form of common equity, with Fund X receiving 99.4% of distributed cash until an 8% IRR and 1.25x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Mongoose currently holds ~9,500 predominantly HBP net acres in Pecos County, Texas. Forge II (a Fund XI company) currently manages the assets through a Management Services Agreement. Forge II operated assets in the Southern Delaware Basin near Mongoose's acreage position and has a deep understanding of the area.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-17	$136,544	$0	$13,753	$13,753	0.10x	N/A

Enduring Resources IV, LLC

Company Description

Enduring Resources IV is a privately held, independent oil and gas company based in Denver, CO. The company is led by the former management team of Westport Resources, a publicly traded independent that sold to Kerr-McGee in 2004 for $3.4 billion. Additionally, management is substantially the same team from Enduring I & II, which were both highly successful EnCap entities. After its formation in 2004, Enduring I built asset bases in East Texas, South Texas, and the Rockies. The company exited the majority of its assets through three major individual sales: a $603 million sale of its East Texas properties to Cabot Oil & Gas (NYSE: COG) in August 2008; a $1.325 billion sale of its South Texas/Eagle Ford Shale assets to a 50/50% joint venture between Talisman (NYSE: TLM) and Statoil (NYSE: STO) in December 2010; and a $43 million sale of its East Texas Robertson County assets in February 2011. Enduring I generated a 41% IRR and a 2.5x ROI on $162 million invested for Fund V and a 333% IRR and a 2.3x ROI on $42 million invested for Fund VII. Following its inception in 2011, Enduring II pursued multiple projects in West Texas and the Rockies but ultimately focused its efforts on the Southern Midland Basin, where it amassed 63,000 net acres in Reagan and Irion counties and drilled over 50 operated horizontal wells with four rigs running at the time of the sale. In 2014, the company sold this asset for $2.5 billion to an affiliate of American Energy Partners and generated a 68% IRR and 2.9x ROI for both Fund VII and Fund VIII on $106 million and $170 million of invested capital, respectively. The company will execute a strategy similar to the one deployed in Enduring I & II, whereby Enduring IV will build a compelling acreage position in one or more onshore U.S. basins through a combination of acquisitions, greenfield leasing, and farm-ins. The team will then rely on its proven technical and operating expertise to execute a development program utilizing optimized drilling and completion techniques to create value.

Transaction Summary

Enduring IV was formed in June 2017 with a $1.0 billion commitment consisting of $475 million from Fund X, $475 million from Fund XI, and $50 million from management. In Q1 2018, the company increased its commitment to $1.05 billion consisting of $475 million from Fund X, $475 million from Fund XI, $52.5 million from management, and $47.5 million from an affiliate of Avista Capital Partners. The investment is structured as common equity, with EnCap receiving a proportionate share of the distributions until simple payout is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q1 2018, Enduring IV closed on its previously announced acquisition of WPX Energy, Inc.'s (NYSE: WPX) San Juan Basin oil assets for $700 million that was substantially underpinned by PDP value. The acquired assets encompass ~93,000 net acres in the prolific core of the oil window with ~22.0 Mboe/d of production (74% liquids). Enduring IV will look to develop its inventory of highly economic locations with modern completions to drive value.

After initiating development in July 2018, the company experienced significant operational issues and delays related to the required infrastructure build-out, which led to cost overruns and mixed results on its first series of Mancos oil horizontal wells. In response, management slowed down its development pace and overhauled its field operations team and D&C protocols. However, this delay in development also resulted in increased midstream obligations.

In early 2020, Enduring IV halted all development plans (with 6 DUCs outstanding) as commodity prices declined. The company focused its efforts on reducing operating expenses, cutting overhead costs, and paying down debt. The company successfully paid down considerable debt over the course of 2020 and 2021 and benefitted significantly from its implemented cost reductions.

In December 2023, Enduring IV acquired DJR Energy, a private San Juan Basin operator, in a sign and close merger transaction. Per the terms of the agreement, legacy Enduring IV investors own 80% of the pro forma entity, while the acquired party owns 20% of the pro forma entity. EnCap retained Board control following close. As part of the transaction, legacy Enduring and DJR shareholders invested cash into the business to properly capitalize the company for continued growth ($27 million net to each of Fund X and Fund XI).

This transaction adds considerable production, cash flow, and core, oil-weighted inventory that strengthens the outlook for all investors. The transaction is also accretive to cash flow and inventory metrics for legacy Enduring IV investors. On a combined basis, the company is producing ~40 MBoe/d across ~560,000 net acres in the San Juan Basin. Longer term, we believe this acquisition will make Enduring IV a more attractive exit candidate due to the significant scale of the business and its runway of attractive drilling inventory.

Recent Events

Enduring IV plans to run a one rig program in 2024 while maintaining a modest reinvestment rate. The current capital plan is expected to deliver meaningful production and cash flow growth year-over-year. We expect that the company will be in a position to reinitiate distributions from cash flow in 2025.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-17	$298,571	$16,511	$346,525	$363,036	1.22x	N/A

Grayson Mill Energy II, LLC

Company Description

Grayson Mill Energy II is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill II management team is comprised of the same senior management team as Grayson Mill I. They have also added additional key personnel and support staff with a significant Bakken experience. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdom (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum ("Oasis"), where he managed the entirety of Oasis' operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company's Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdom previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdom worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC's successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company's strategy in the Bakken.

Transaction Summary

In February 2021, Fund X posted a $150 million deposit to secure the acquisition of Equinor's Bakken assets. In April 2021, Fund X committed $250 million, Fund XI committed $500 million, and management committed $1 million, providing a total equity commitment of $751 million to the company. Simultaneous with the April closing, ownership across members was trued up based on commitments to the company. The investment is structured in the form of common equity with EnCap receiving 99.9% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Concurrent with the formation of Grayson Mill II, the company closed its acquisition of Equinor's Bakken assets for $900 million. Equinor's Bakken assets include ~240k net acres producing ~44 MBoe/d net (67% oil), as well as an extensive crude, gas, and water gathering system that greatly enhances producer margins. At closing, the transaction was funded with $560 million in equity, $275 million in debt, and $65 million in interim period cash flow. The valuation was highly compelling with over $1 billion in hard value coverage and meaningful upside inventory remaining that was not valued to underwrite the deal. Additional upside exists in LOE reductions and refrac potential. Equinor hedged a meaningful portion of PDP volumes on behalf of Grayson Mill at PSA signing, and Equinor also provided firm crude transportation at an attractive fixed fee arrangement through YE 2022. The transaction closed in April 2021.

During Q1 2022, Grayson Mill sold non-core acreage and associated production in Montana for $71 million to a private operator.

In Q4 2022, the company acquired EOG's Western Bakken assets for $125 million in cash consideration after EOG ran a marketed process. The acquired assets are substantially offset or inside existing Grayson Mill drilling units and include over 100 net locations. After netting out approximately $50 million of PDP value, this inventory was captured at a compelling valuation (<$1 million per location) and will further extend the deep inventory runway of the company, while also extending laterals for several of Grayson Mill's existing drilling units.

Recent Events

Management began influencing operations after closing in April 2021 and formally brought operations in-house in August 2021. Over the course of 2021, the team primarily focused on stabilizing production and lowering operating costs, which yielded excellent results. The company also completed a significant backlog of DUCs that were inherited from the seller and commenced a re-frac program. In late 2021, Grayson Mill deployed its first operated rig, and the company added a rig in each of Q1 2022 and Q4 2022. The company is currently running a 2-rig program.

During 2024, Grayson Mill intends to continue a moderate reinvestment rate, allowing for a balance of growth, value creation, and distributions from cash flow, while maintaining modest leverage (<1.0x). In Q1 2024, Grayson Mill distributed ~$70 million and has distributed ~$1.1 billion since inception. Overall, the company is very well positioned for continued success, especially in the current commodity price environment, and we expect to realize ongoing distributions from free cash flow for the foreseeable future. Additionally, the team may evaluate a sale of the business later this year.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
April-21	$196,420	$327,915	$598,301	$926,216	4.72x	N/A

Verdun Austin Chalk JV

Company Description

The Verdun Austin Chalk Joint Venture ("Chalk JV" or the "JV") is a joint venture agreement between EnCap Fund X and Verdun Oil Company, LLC ("Verdun"). The purpose of the Chalk JV is to use direct funding from Fund X to unlock valuable drilling economics that reside in the Verdun dry gas Austin Chalk asset base. The Austin Chalk assets present compelling economics, particularly in the current commodity price environment, however, Verdun's focus remains on developing their Eagle Ford asset base and using the substantial associated free cash flow to make monthly distributions. The JV will allow Verdun to accelerate development of these economic locations.

Transaction Summary

The Chalk JV will be funded through a new commitment that will be made up of a reduction to the existing Verdun equity commitment. To date $39 million has been funded to the Chalk JV and an additional $61 million will be added to the commitment for a total of $100 million commitment. Verdun I has $109 million unfunded commitment, and given the very low likelihood Verdun will need any additional equity capital, a reduction of $100 million is not anticipated to create any issue.

The JV will be structured such that Fund X funds 100% of the capital in certain Austin Chalk wells. Fund X will receive all the cash flow from the JV until it achieves an 8% rate of return, at which point Fund X will receive 80% of the remaining cash flows and Verdun Oil Company will receive 20%.

Post Investment Activity

Drilling in the Austin Chalk JV began in December of 2021 across 5 wells (Cantigny 1H, Passchendaele 1H, Cambrai 1H, Gallipoli 1H, and Tannenberg 1H). Difficult drilling conditions led to higher D&C costs than initially anticipated, though the dramatic increase in commodity prices at time of production indicated returns higher than initial underwriting.

Recent Events

During Q4 2023 the company layered on natural gas hedges and is currently restricting production on producing wells in line with hedged volumes. EnCap will look to resume full production and complete 2 DUC wells as gas prices improve.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Dec-21	$74,000	$0	$66,395	$66,395	0.90x	N/A

Grayson Mill Energy III, LLC

Company Description

Grayson Mill Energy III is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill III management team is comprised of the same senior management team as Grayson Mill I and Grayson Mill II. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdom (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum ("Oasis"), where he managed the entirety of Oasis' operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company's Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdom previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdom worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC's successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company's strategy in the Bakken.

Transaction Summary

Grayson Mill Energy III was formed in Q2 2023 in conjunction with the announced acquisition of Ovintiv's Bakken assets for $825 million. At signing, Fund X and Fund XI posted a ~$41 million deposit to secure the deal. Subsequently, the company was capitalized with $904 million of total equity commitments: (i) $67 million Fund X, (ii) $133 million Fund XI, (iii) $400 million Fund XII, (iv) $300 million co-investors, and (v) $4 million management. Management's initial $4 million commitment will expand up to $20 million as ongoing distributions are made from Grayson Mill II. Approximately $245 million of the $300 million in commitments from co-investors was closed in June 2023, and the balance closed in July 2023. The investment is structured in the form of common equity with investors receiving a proportionate share of the distributions until an 8% IRR and 1.00x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q2 2023, Grayson Mill III closed its acquisition of Ovintiv's Bakken assets for $825 million. Ovintiv's Bakken assets include ~44k net acres producing ~34 MBoe/d net (80% liquids). The valuation was highly compelling with significant hard value coverage and purchased at a ~2.0x EBITDA multiple. The asset has significant upside in the form of ~200 gross / ~130 net risked development locations and refrac opportunities. EnCap believes the team is well-equipped to efficiently operate and develop its inventory, while also adding additional inventory through the company's ongoing business development efforts.

Management formally brought operations in-house in Q3 2023 and initiated a 1-rig program and began performing refracs in conjunction with new development. Well results to date have been in-line with initial expectations.

Recent Events

Grayson Mill III is maintaining a moderate reinvestment rate and has a strong balance sheet and leverage profile (<1.0x). The company expects to initiate a distribution program in the second half of 2024 from free cash flow. The team is also actively evaluating additional bolt-on opportunities and may evaluate a sale of the business later this year.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
April-23	$34,444	$0	$57,591	$57,591	1.67x	N/A

Southland Royalty Company, LLC

Fully Realized

Company Description

Southland Royalty Company is a privately-held, Fort Worth-based independent oil and gas company focused on building an attractive asset base through an acquisition strategy focused on a variety of domestic unconventional basins. The Southland management team consists of Bob Simpson (Chairman), Keith Hutton (CEO), Vaughn Vennerberg (President), Timothy Petrus (EVP – Acquisitions) and Brent Clum (CFO). The majority of senior management has worked together for over 27 years and has substantial experience operating in numerous onshore domestic conventional and unconventional basins. This team was the core group responsible for making over $15 billion in oil and gas acquisitions that created the basis for XTO's approximately $41 billion sale to Exxon in 2009. Southland's strategy is to acquire producing, operated oil and gas assets in areas with multiple rich source rocks targeting a series of known productive zones with stacked pay potential and grow production and reserves through efficient management of operations as well as through development, exploitation and exploration.

Transaction Summary

In February 2015, Fund IX committed $431.2 million, Fund X committed $646.8 million and management committed $22.0 million, providing a total equity commitment of $1.1 billion to the company. The investment is structured in the form of common equity with the EnCap funds receiving 98% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On March 31, 2015, management closed on the acquisition of Energen's San Juan Basin asset for $395 million. The asset consists of ~205k net acres (99% HBP, 85% operated) located on the border of Colorado and New Mexico. At the time of the acquisition, Southland's purchase price was fully-underpinned by PDP value with numerous upside opportunities, several of which are economic even at depressed commodity prices.

On June 30, 2016, management closed on the acquisition of Anadarko's Green River Basin asset for $610 million. The asset consisted of ~320k net mineral acres and ~34k net leasehold acres (99% HBP or Mineral Ownership) located in southern Wyoming. At the time of the Green River Basin acquisition, the purchase price was predominantly underpinned by PDP value with numerous upside opportunities, several of which are economic even at depressed commodity prices.

In Q4 2016, EnCap and Morningstar (entity majority owned and controlled by Southland management) completed a sell-down of ~$132 million to reduce EnCap's overall exposure to Rockies gas. The sell-down allowed Morningstar to increase its commitment from 2% to 20%, which improves the alignment between EnCap and Southland management. The new commitment amounts are as follows: $352 million from Fund IX, $528 million from Fund X and $220 million from Morningstar.

Southland filed an amended plan of reorganization during the first quarter of 2021, and the plan was approved during the second quarter of 2021. There was no impact to the Fund due to the wind-down of Chapter 11 proceedings.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-15	$465,503	$0	$0	$0	0.00x	N/A

Grenadier Energy Partners II, LLC

Fully Realized

Company Description

Grenadier II is a Houston based, privately held oil and gas company founded by the Grenadier I management team led by Pat Noyes, former President and CEO of Stroud Energy. Grenadier I was formed in April 2007 following the sale of Stroud Energy, which generated a 98% IRR and 3.1x IRR on Fund IV's $27 million investment. In Grenadier I, management built a highly attractive, blocked-up acreage position in the Marcellus Shale consisting of approximately 16,400 net acres in Wetzel County, West Virginia which it ultimately sold to Statoil in December 2012 for total returns net to Fund VI of 1.7x ROI and 26% IRR. In Grenadier II, management is focusing on a lease-and-drill strategy in known producing onshore U.S. basins.

Transaction Summary

In August 2012, Grenadier II was formed with a $340 million equity commitment comprised of $200 million from EnCap Fund VIII, $133 million from Kayne Anderson, $6 million from management and $1 million from a passive co-investor. The structure and economic sharing ratios are similar to the prior Grenadier structure, providing the investor group with 98.0% of the available cash until an 8% IRR and 1.25x ROI is earned; thereafter distributions will be allocated on a graduated basis until higher IRR and ROI targets are met. EnCap and Kayne Anderson have full board control with EnCap's approval required for all material board decisions.

In May 2015, EnCap Fund VIII moved $150 million of its $200 million commitment to EnCap Fund X to free up capital for Fund VIII and to allow Grenadier II's growth timeline to be better aligned with that of Fund X given the early stage nature of the investment.

Post-Investment Activity

After targeting a number of domestic basins, Grenadier II chose to focus on building a position in North Louisiana targeting the Cotton Valley interval and the company built a ~40,000 acre position. Grenadier II drilled and completed two science wells to test the acreage and gather core and log data; however, these initial test wells did not demonstrate economic results in the current price environment. In Q2 2017, Grenadier sold its assets in North Louisiana in order to shift capital and focus to the Permian.

In Q4 2016, Grenadier shifted its focus from North Louisiana to the Midland Basin through the successful negotiation of a farm-in arrangement with Occidental Petroleum covering ~7,000 net acres in Howard County offsetting attractive drilling results from operators including SM Energy, Surge and Sabalo.

In Q3 2017, Grenadier negotiated a deal to buy out Occidental Petroleum's interest in the Howard County JV for $42.5 million. This transaction, combined with greenfield leasing, bolt-on acquisitions and acreage trades, has scaled Grenadier's current Howard County acreage position to ~21,000 net acres. The company initiated a delineation program in late 2017 and has drilled and completed multiple operated horizontal wells to-date in the Wolfcamp A and Lower Spraberry zones with positive early-time results. Additionally, substantial industry activity offsetting Grenadier's acreage position has demonstrated encouraging results as the play continues to be de-risked to the east. Grenadier has also participated in a number of non-operated wells on its acreage position with positive results from those wells.

In Q1 2021, Grenadier closed on the sale of ~18,000 net acres and ~9,000 boepd (75% oil), which represents substantially all its assets to Surge Energy for $420 million of cash consideration. Surge funded a 10% cash deposit ($42.0 million) into an escrow account which was converted into the holdback amount at closing on March 31, 2021. 50% of the holdback was released after six months, with the remaining distributed prior to YE 2021. Estimated proceeds from the sale, inclusive of the holdback and after accounting for debt and other miscellaneous purchase price adjustments, will generate a 1.4x cash-on-cash ROI net to Fund X.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	$100,778	$145,606	$0	$145,606	1.44x	8.6%

American Resource Development LLC ("Ameredev")

Fully Realized

Company Description

Ameredev is a privately-held, Austin-based independent oil and gas company focused on the identification, acquisition and development of oil and gas assets in the Permian Basin. The Ameredev management team is led by Parker Reese (President), Floyd Hammond (VP-Operations), Eric Rhoden (VP-Geology), Noah Bramble (Land Manager), and Ron Zboril (CFO). Mr. Reese was formerly with Three Rivers Operating Co., where he played an active role in evaluating, capturing and developing their Permian position which, through accretive acquisitions and strategic sales, ultimately resulted in a ~3.0x ROI for its investors. Previously, Mr. Reese was employed by Cimarex Energy and ConocoPhillips where he gained valuable experience in the Delaware Basin, Anadarko Basin and Gulf Coast. The team shares a similar mindset with EnCap relative to risk management, capital allocation and opportunity capture. Ameredev will implement an acquire and develop strategy with a focus in the Permian Basin

Transaction Summary

In May 2015, Fund X committed $247.5 million and management committed $2.5 million, providing a total equity commitment of $250.0 million to the company. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Shortly after inception, management identified the Delaware Basin as a focus area due to its strong geologic merits, stacked pay potential, infancy of play compared to the Midland Basin and the team's historical operational experience in the area. In September 2015, management began PSA negotiations to acquire 3,128 net Wolfcamp acres in Ward County from a distressed seller. This acreage was located in the core of the Delaware Basin, targeting primarily the Wolfcamp A (with potential upside in four additional zones) and included a low pressure gathering and processing system serving the asset. After a drawn-out PSA negotiation, the acquisition ultimately closed in May 2016 for a purchase price of $86.0 million ($49.0 million less than initially agreed to amount).

Though the competitive landscape in the Delaware Basin increased significantly post-closing of their initial acquisition, management was able to successfully bolt-on additional offset acreage, primarily through greenfield leasing activities, ultimately amassing 15,413 net Wolfcamp acres and 2,116 net royalty acres (normalized to a 12.5% royalty burden) in Ward and Pecos Counties, Texas.

On December 13, 2016, Callon Petroleum ("Callon") publicly announced the acquisition of Ameredev for $615.0 million in cash, implying a dollar per acre purchase price of $33,672/net Wolfcamp acre after accounting for PDP value, assuming $40,000 per flowing Boe/d (based on net daily production of ~1,945 Boe/d) and $18.4 million for gas gathering, infrastructure and saltwater disposal wells and facilities. After escrow release, and after accounting for debt and other miscellaneous purchase price adjustments, Ameredev received $588.2 million of cash proceeds from the sale of the company's assets to Callon, resulting in distributions to Fund X of $487.5 million.

In Q1 2020, Ameredev closed on the sale of substantially all of its remaining ORRI and mineral assets not included in the Callon sale ($21.6 million net to Fund X).

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	$168,300	$514,432	$0	$514,432	3.06x	273.2%

Talon Oil & Gas III LLC

Fully Realized

Company Description

Talon III is a privately held, Dallas-based independent oil and gas company formed by a team of oil and gas professionals led by Grant Henderson. The team initially partnered with EnCap Fund VI in January 2007 and pursued an acquire-and-exploit strategy focused on proved reserves with identifiable upside, principally in the Barnett Shale and Texas Panhandle. Subsequently, Talon I sold its Barnett Shale and Texas Panhandle assets to EnerVest and Devon, respectively, providing EnCap Fund VI with a 66% IRR and 2.7x ROI on its $136 million investment in the properties. The team subsequently partnered with EnCap Fund VIII in December 2010 with the goal of replicating Talon I's acquire-and-exploit strategy/success; however, it became apparent after more than a year of screening acquisitions that the company needed the ability to also pursue lease-and-drill assets. This led to a merger with Elephant Oil & Gas, an organization with the experience and know-how to source and capture resource play opportunities. The company subsequently established a position in three emerging resource plays, the East Texas Eagle Ford, the Cline Shale and the North Texas Caddo. Talon II's only remaining asset is a non-operated joint venture with EnCap-backed Venado Oil & Gas that requires minimal oversight. Talon II further supplemented its team in order to pursue new opportunities, and EnCap decided to provide the team with a new commitment via Talon III out of Fund X in order to (i) more adequately capitalize the team to pursue larger, strategic acquisitions and (ii) better align the timeline of future assets with the rest of the fund in which they will be housed.

Talon III management team is comprised of key individuals from Talon I and II, including Grant Henderson, Chris Jackson and Elephant Oil & Gas co-founders Bradley Williams and Nick Varel along with three additional team members that were not a part of Talon I and II (Tom Grace – Managing Partner, Ops. & Finance, Kevin Walsh – EVP - Engineering and Kevin Schepel – EVP - Geoscience & Technology). Talon III will target stacked-pay basins with both conventional and unconventional development potential and a diverse hydrocarbon stream.

Transaction Summary

In May 2015, Talon III was formed with a $300 million total equity commitment comprised of $281 million from Fund X, $16 million from co-investors and $3 million from the management team. The investment is structured in the form of common equity with the investor group receiving 99% of the available cash flow until an 8% IRR is earned; thereafter, distributions are allocated on a graduated basis as IRR targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q4 2016, Talon III exercised an option to buy-in to ~1,400 net acres in Lea & Eddy Counties, New Mexico from Black Mountain Oil & Gas for ~$11 million. The option was negotiated in 2015 in exchange for the company providing leasing opportunities to Black Mountain as Talon III sought out acquire-and-exploit opportunities in other areas.

On March 18, 2017, Talon III and NGP-backed Black Mountain Oil & Gas signed a PSA with Marathon Oil to sell ~21,000 net acres and associated production in the northern Delaware Basin for $700 million in an all-cash transaction, with ~$75 million of value allocated to Talon III's acreage. The transaction closed on June 1, 2017. In addition to the $51 million of distributions at close, Fund X received additional proceeds of ~$4 million related to holdbacks for ~$55 million of total distributions, which equates to a 4.0x ROI on Fund X's total investment in Talon III of $13.9 million.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	$13,910	$57,640	$0	$57,640	4.14x	243.5%

MODA Midstream LLC

Substantially Realized

Company Description

Moda Midstream ("Moda") is a privately-held, Houston, Texas-based midstream company led primarily by the former management team of Oiltanking Partners, L.P. ("Oiltanking") and other industry veterans, including Jon Ackerman, Bo McCall and Javier del Olmo. In early 2018, Ken Owen, the former CEO, decided to retire as CEO and was replaced by Bo McCall. Moda Midstream is focused on becoming the crude oil logistics provider of choice for an expanding, diversified customer base in North America and the surrounding geographic area. Potential customers for Moda's downstream-focused midstream distribution system include major diversified energy companies, petrochemical companies, waterborne markets and other pipeline distribution systems.

Transaction Summary

In March 2015, EFM III committed $445.5 million to Moda. Combined with a group of EFM Co-Investors' (including EnCap Energy Capital Fund X) commitment of $297.0 million (together with EFM III, the "Investor Group") and management's commitment of $5.6 million, the company had a total equity commitment of $748.1 million. In conjunction with the Ingleside Energy Center acquisition in Q3 2018, the commitment to Moda Midstream was expanded from $748.1 million to $1.9 billion from the following investors:

- EFM III: $445.5 million
- EFM IV: $487.5 million
- EFM Co-Investors: $815.1 million
- EnCap Energy Capital Fund X: $124.9 million
- Management: $14.2 million

The investment is structured in the form of common equity, with the Investor Group receiving ~99.2% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EFM holds a majority position on the Board of Managers.

Post Investment Activity

Moda finalized a terminal opportunity with its first joint venture partner in Q1 2016 to develop a crude oil and clean products hub in Houston, Vopak Moda Houston ("VMH"), with plans to include storage, multiple vessel berths and pipeline connectivity. During Q3 2016, a second joint venture terminal opportunity was created with a new partner focused on St. James, Louisiana, Ergon Moda St. James ("EMSJ").

In September 2018, Moda closed on the acquisition of the Ingleside Energy Center ("IEC") and certain crude and LPG infrastructure from Occidental Petroleum Corporation (NYSE: OXY). Simultaneous to Moda's acquisition of the Ingleside Energy Center, Lotus closed on the acquisition of the Centurion and SENM gathering systems from OXY for a combined purchase price of $2.6 billion.

Ingleside was located near the mouth of the Corpus Christi Ship Channel with minimal transit times to the Gulf of Mexico. The terminal linked the Permian and Eagle Ford through multiple long-haul crude pipelines. IEC was designed to handle a wide range of vessels, including very large crude carriers ("VLCCs"), at high loading rates to maximize shipping economics for its customers. IEC had approximately 2.1 million barrels of storage and three deep-water berths for crude oil at acquisition. Since the acquisition, Moda constructed and placed in-service an additional ~13 MMBbls of contracted storage as part of the Phase I – IV buildout bringing total capacity to ~15 MMBbls.

Moda entered into definitive commercial agreements with two investment grade counterparties at its VMH joint venture to provide ammonia storage services and reached FID on the project in mid-2019. The buildout of the facilities is supported by 15-year contracts.

In Q2 2019, Moda entered into definitive commercial agreements with a large, investment grade counterparty to construct infrastructure to transport and store pressurized gas at its VMH joint venture. The proposed buildout will consists of a rail spur, ~14,000 barrels of pressurized gas storage and associated infrastructure. Developing the gas opportunity significantly enhances the development of a terminalling footprint at VMH.

On October 12, 2021, Moda closed on the sale of IEC and other select assets to Enbridge (NYSE: ENB) for a total consideration of $3.15 billion including $3.0 billion in cash at close with the remaining $150.0 million received via three volume-based earnouts that were achieved over the following 13-month period. Following receipt of the earnout, total realized proceeds were approximately $626.1 million, net to EFM III and approximately $685.0 million, net to EFM IV. The sale ultimately resulted in an approximately 18% IRR and 1.6x ROI on an aggregate invested capital of approximately $1.6 billion. Moda retains its 50% interest in VMH, which EFM and Moda view as an exciting platform for future growth.

Recent Events

During the quarter, Moda announced the sale of its' 50% interest in the VMH joint venture to Exolum, which subsequently closed on 1/11/24. VMH was Moda's final remaining asset, and upon transaction close, the aggregate Moda investment resulted in total proceeds of ~$2.9 billion and gross returns of 1.7x ROI and 20% IRR.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-15	$112,393	$182,022	$716	$182,738	1.63x	17.0%

Staghorn Petroleum LLC

Substantially Realized

Company Description

Staghorn Petroleum ("Staghorn II") is a privately-held, Tulsa-based oil and gas company focused on the pursuit of sizeable, high-growth and/or emerging plays through a combination of (i) producing and non-producing property acquisitions, (ii) grass-roots leasing and (iii) farm-ins or joint ventures. The Staghorn II executive management team consists of Frank Eby (Chairman), James Royal (CEO), Peter Vail (CFO), Ken March (VP of Geology), Jeff Frederick (VP of Asset Engineering) and Richard Eby (VP of Land & Business Development). Each team member has garnered significant industry experience and contacts from past roles at companies including Newfield Exploration, Apache Corporation and Staghorn Energy, LLC ("Staghorn I"). EnCap has known Mr. Eby for over a decade and formalized its partnership with him in 2007 via a $9.3MM equity investment in Staghorn I from Fund VI for a 25% ownership in the company. To date, Fund VI has realized a 2.6x cash-on-cash return on its investment in Staghorn I. Mr. Eby has been able to generate significant value for himself and his shareholders across multiple hydrocarbon price cycles through a strategy of assembling, exploiting and selling E&P assets.

Transaction Summary

In September 2015, Fund X committed $291 million alongside a family and friends' commitment of $3 million and a $6 million commitment from management for a total initial equity commitment of $300 million to Staghorn Petroleum. The investment is structured in the form of common equity with Fund X receiving 97% of distributed cash until an 8% IRR and 1.25x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On March 21, 2017, Staghorn II, Fund VIII-backed Dorado and Fund VI-backed Staghorn I closed on the sale of a combined ~48k net acres and associated production located on the eastern side of the Oklahoma STACK play in Kingfisher/Garfield/Major counties to Apollo-backed Chisolm Oil and Gas Operating, LLC (formerly known as Zenergy Inc.) for $625 million of cash consideration. This transaction provided Fund X with $373 million of total distributions, which implies a 2.3x cash-on-cash ROI (assuming no value given to Staghorn II's retained assets mentioned below) on Fund X's total investment in Staghorn II of $165 million. Additionally, the partial sale of certain Dorado and Staghorn I assets via this transaction allowed Fund VIII and Fund VI to receive total distributions of $121 million and $1.5 million, respectively.

Staghorn II continues to own ~38k net acres located on the western side of the Oklahoma STACK play predominantly in Woodward, Major, Blaine and Dewey counties, as well as ~16k net mineral acres across the broader STACK play. Following the formation of Staghorn Petroleum II, LLC ("Staghorn III"), Staghorn II and Staghorn III entered into a mutually-beneficial joint venture that allows management to continue creating value for the western STACK assets held by Staghorn II, while also adding to that position in Staghorn III.

In Q4 2019, EnCap and JP Morgan sold the working interest assets held in Staghorn II & Staghorn III to management for ~$24mm (~$22mm net to EnCap). The transaction closed in January, and Fund X received net proceeds to Staghorn II of $5.7 million. Fund X retained an undivided 74% interest in the minerals owned by Staghorn II. Going forward, we intend to monitor development activity within our ORRI position and look to opportunistically exit the investment when market conditions justify doing so.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Oct-15	$164,900	$389,857	$4,208	$394,065	2.39x	154.9%

Felix Energy Holdings II, LLC

Fully Realized

Company Description

Felix II is a privately-held, Denver-based independent oil and gas company focused on the identification, acquisition and exploration of liquids-rich resource plays in various U.S. basins. Felix is led by Skye Callantine (CEO), Craig Willenborg (COO), Bill Arnold (VP-Operations), Michael Horton (VP-Land) and John McCready (CFO). Mr. Callantine was formerly an executive with Chesapeake Energy and was primarily responsible for evaluating, capturing and developing Chesapeake's Eagle Ford, Woodbine and Haynesville Shale positions. While at Chesapeake, Mr. Callantine built and developed Chesapeake's Eagle Ford Shale position from a legacy lease position to over 700,000 net acres and 800 producing horizontal wells. EnCap first partnered with Felix in April 2013 in Felix I and, through Q4 2015, had invested $390 million in equity to: 1) amass 80,000 net acres in the core of the STACK play in Kingfisher, Canadian and Blaine counties, OK, 2) drill wells, 3) develop infrastructure, and 4) purchase mineral and overriding royalty interests in the STACK play. On December 6th, 2015, Felix signed a purchase and sale agreement with Devon ("DVN") to sell the company's upstream assets for total consideration of $1.9 billion.

Transaction Summary

In September 2015, Fund X committed $477.2 million, family and friends of management committed $7.8 million and the management team committed $15.0 million, providing a total initial equity commitment of $500.0 million to the company. Subsequent adjustments to the final commitment related to changes in management and family and friends investors resulted in a final Fund X commitment of $477.0 million. The investment is structured in the form of common equity with the Investor Group receiving 95.40% of distributed cash until an 8% IRR and 1.0x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In June 2016, Felix II acquired 36,456 net acres in Winkler and Ward counties for $220.0 million. The position represents a significant foothold in a highly sought after basin that is prospective for multiple formations and has favorable lease terms. Since closing the acquisition in June 2016, the Felix team has actively pursued bolt-on acquisitions to increase scale, further high-grade the acreage position, and increase the number of locations suitable for longer lateral development.

Following the initial acquisition, Felix II amassed ~58,900 net acres primarily in Winkler and Ward counties, Texas. Felix II began a drilling program in early July 2016 and has drilled over 100 wells to-date across six different intervals (Upper Wolfcamp A, Lower Wolfcamp A, Upper Wolfcamp B, Lower Wolfcamp B, 3rd Bone Spring Sand, and 3rd Bone Spring Shale). The company also pursued value-added projects, including the formation of Felix Water, LLC, a subsidiary of Felix that provides water supply and disposal services, as well as its own oil gathering system.

On December 16, 2019, Felix signed a PSA to sell 100% of the company's upstream assets to WPX Energy ("WPX") for total consideration of $2.5 billion. The purchase price consisted of $900.0 million in cash and 152.96 million shares of WPX common stock (~26.6% of the outstanding shares) and closed on March 6, 2020. Per the PSA, 1/3 of the common shares were not subject to lock-up while the remaining shares are locked-up for 180 days post-closing. Felix II also has the right to nominate two board representatives for as long as ownership exceeds 20% and one representative above 10% ownership. In addition to the upstream sale, Felix II sold 100% of their midstream assets to Plains All American for $305.0 million.

On January 7, 2021, WPX completed a merger of equals with Devon Energy. At closing, Felix II owned ~12% of the outstanding shares of the pro forma business, and EnCap retained one board seat.

On January 26, 2021, Felix II signed an agreement to sell its water business for $300 million to an undisclosed buyer. The transaction closed in March. On February 22, 2021 EnCap sold 26,326,096 freely tradeable Devon shares resulting in a distribution of $554 million to Fund X investors. This sale equated to one third of total shares held by Felix II. By Q4 2022, EnCap sold all remaining Devon shares resulting in a total ROI of 7.9x and a 46.3% IRR.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-15	$335,323	$2,637,890	$0	$2,637,890	7.87x	46.3%

Raisa Energy II, LLC

Fully Realized

Company Description

Raisa II is a privately held, Denver-based independent oil and gas company focused on building an attractive non-operated asset base through acquiring small non-operated working interests and mineral interests in the core of de-risked basins that demonstrate the most economic drilling opportunities in the country. Raisa's initial focus was on the DJ Basin, the SCOOP/STACK, and the Bakken, and the team has since expanded to the Delaware Basin. The Raisa management team consists of Luis Rodriguez (CEO), Casey Harless (VP – Land), Jeremy Cook (CFO), and Ayman Kaheel (VP – Data Analytics). Rodriguez formed his first non-operated E&P venture, Raisa Energy ("Raisa I"), in March 2015 and subsequently recruited the additional management team members to build out the team. Casey Harless was highly involved at Raisa I on a contract basis, sourcing substantially all of the acreage acquisitions. Jeremy Cook and Ayman Kaheel joined the management team shortly after closing the equity commitment.

Raisa's strategy is focused on expediently and economically converting small blocks of core undeveloped acreage into production many times over. The team is concentrated on acquiring and developing small non-operated working interests in the core of de-risked basins that demonstrate the most economic drilling opportunities in the country. The Raisa team performs intense geologic and engineering analysis to identify the best sections under the best and most efficient operators, generating a significant competitive advantage versus small local competitors. The strategy is exclusively concentrated on tier-one acreage in heavily delineated areas of highly economic basins, which helps to mitigate both geological and engineering risk and ensure timely development of acquired acreage.

Transaction Summary

In April 2016, Fund X committed $183.4 million, co-investors committed ~$13 million, and management committed ~$4 million, providing a total equity commitment of $200 million to the company. Co-investors and Management contributed $12 million of assets, consisting of producing properties and DJ Basin acreage, and committed $5 million of additional equity capital. The investment is structured in the form of common equity with Fund X receiving 92% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q1 2018, Raisa's total equity commitment was expanded by $100 million (comprised of ~$92.4 million from Fund X, ~$6 million from co-investors, and ~$2 million from management). The expanded commitment will be utilized to continue creating an attractive portfolio of non-operated and mineral assets in the company's existing basins with potential to expand into additional basins.

In Q3 2019, Raisa closed the industry's first Investment Grade rated securitzation, collateralized by a subset of PDP wellbores, and made a $50 million 8/8ths distribution in Q4 2019.

During the 4th quarter of 2021, we successfully closed the sale of Raisa Energy II, LLC to Savitar Energy Holdings, LLC, a company formed by Ares and Citadel. Net to EnCap, $222.2 million of cash proceeds to Fund X were received, representing a 1.06x ROI.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-16	$252,662	$268,140	$0	$268,140	1.06x	1.5%

Advance Energy Partners, LLC

Substantially Realized

Company Description

Advance Energy Partners is a privately-held, Houston-based independent oil and gas company focused on building an attractive asset base through an acquisition strategy focused on the Permian Basin. The Advance management team originally consisted of Peter Lellis (CEO), Ed Caamano (VP – Geoscience), David Harwell (VP – Engineering), David Scott (VP – Land) and Kevin Hays (CFO). Each technical team member has 30+ years of industry experience and substantial contacts in the industry from past roles at companies such as ConocoPhillips, Pioneer Natural Resources, Canadian International Oil Company and Laredo Petroleum. Most of the founding team members (excluding Kevin Hays) worked together on numerous projects at ConocoPhillips and developed a strong cohesion among the team. While at ConocoPhillips, Mr. Lellis served as Chief Geophysicist for U.S. Onshore, and he along with his team were responsible for several multibillion projects resulting in significant value creation.

Transaction Summary

In September 2014, Fund IX committed $297.0 million and management committed $3.0 million, providing a total equity commitment of $300.0 million to the company. In May 2016, Fund IX's commitment was transferred to Fund X as a means to manage Fund IX's overall commitment level. Fund X reimbursed Fund IX for start-up costs incurred to date plus interest at 8%. In Q3 2017, the total equity commitment was expanded by $150.0 million, comprised of $148.5 million from Fund X and $1.5 million from management, providing a total equity commitment of $450.0 million.

The management interests of Advance were fully repurchased in Q4 2021. Ameredev II now operates the Advance assets under MSA, with a new management incentive structure in place. Fund X receives 100% of distributed cash until an 8% IRR is achieved on $910 million of deemed equity value. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

During Q3 2017, Advance closed on a two-part acquisition of ~6k net acres (100% HBP / 100% WI / 78% NRI) with production of ~1,100 Boe/d (82% oil) in Lea County, NM from two private sellers. The asset represented one of the few remaining large, contiguous acreage positions in a premier area of the Delaware Basin. In conjunction with the acquisitions, in Q3 2017, Advance's total equity commitment was expanded by $150 million (comprised of $148.5 million from Fund X and $1.5 million from management).

Due to an unforeseen terminal cancer diagnosis of a key management team member, EnCap made the difficult but prudent decision to buy out management's interests in the company during Q4 2021. The Ameredev II management team took over operations given their close proximity to the Advance assets, deep understanding of the area, and experience running a multi-rig development program.

On April 12, 2023 Advance closed on the previously announced sale of its operated and non-operated properties in New Mexico and Texas to Matador Resources Company (NYSE: MTDR) for ~$1.6 billion in cash. At closing, $991 million was distributed to Fund X, generating a 2.3x realized ROI and 18% IRR on Fund X's $435 million equity investment.

On December 1, 2023, Advance closed on the sale of the majority of its retained royalty assets for total cash consideration of ~$81 million net to Fund X.

Recent Events

During the first quarter of 2024, Advance closed on the sale of a subset of retained minerals assets for ~$7.8 million. Additionally, on April 12, 2024, the Company received the initial $40 million from holdback.

Advance has additional remaining value related to holdbacks and a few small properties excluded from the sale to Matador.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-16	$435,418	$1,116,337	$72,444	$1,188,781	2.73x	20.7%

Novo Oil & Gas Holdings, LLC

Substantially Realized

Company Description

Novo Oil & Gas Holdings, LLC ("Novo") is a privately held, Oklahoma City based independent oil and gas company focused on the pursuit of statistically proven, liquids-rich unconventional assets within the Anadarko and Permian Basins. Novo is led by Tim Fahler (CEO) and John Zimmerman (CFO), two former managers of PayRock Energy, LLC ("PayRock I"), that played an integral role in the company's successful sale of its core STACK position to Marathon Oil Corporation (NYSE: MRO) in August 2016. While at PayRock I, these individuals served as the Vice President of Reservoir Engineering and Business Development and Vice President of Finance, respectively. Management demonstrated the ability to evaluate, capture, and develop a sizeable and marketable asset while adapting to challenging market conditions and creating significant value. Novo's strategy is to leverage Management's expertise, relationships, and experience to make land acquisitions in the most economically compelling areas of the Permian Basin, in addition to testing STACK analogs within the Permian Basin. Novo plans to execute a return-focused strategy to build a consolidated footprint through greenfield leasing, farm-ins, joint ventures, and acquisitions based on regional geologic mapping and targeted geological prospects. Additionally, Novo intends to execute a minerals strategy within the Permian.

Transaction Summary

In August 2016, Fund X committed $196.0 million to Novo and management committed $4.0 million, providing a total equity commitment of $200.0 million. The investment is structured in the form of common equity, with Fund X receiving 98% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In 2017, Novo assembled ~14,675 net prospective acres in Ector County, Texas on the Central Basin Platform. Management targeted this area for its analogous characteristics to the STACK play of the Anadarko Basin, an area where the team has significant operational and technical expertise. After monitoring wells from several private operators in the area, the Company drilled and completed one horizontal well to test the prospectivity of the Meramec on its position in Q1 2018. The performance of the initial test well has been disappointing, and the play itself remains in the early stages of delineation. Rather than expose additional capital to the project area, the Company has decided to focus its efforts on the northern Delaware Basin and allow other operators in the area to delineate the play before exposing any incremental capital. In 2019, Novo brought in a third party to further delineate the position. The third party carried Novo for its portion of the well cost and the additional well results were not encouraging. There are no plans to expose additional capital to this project area. The Company will opportunistically market its position in Ector County and redeploy any proceeds into the Delaware.

Novo began assembling acreage in Eddy County, New Mexico in August 2017 through various number of small trades. In September 2018, Novo made a large acquisition (1,280 net acres) through the BLM lease auction in New Mexico. The acreage represents some of the most prolific rock in the Delaware Basin, and the lease terms are advantageous, characterized by ten-year lease terms, no pugh clauses, and 87.5% NRIs.

In Q2 2019, Novo acquired ~3,500 net royalty acres (normalized to 1/8th) ("NRAs") directly offset and underneath its operated position in northern Eddy County for ~$30.0 million or ~$6,900 per NMA. These mineral interest are perspective for multiple highly economic zones and are located where industry activity is ramping, and in some instances, where Novo will directly control the development pace.

In Q3 2019, Novo acquired ~1,500 net acres and ~3,700 NRAs directly offset and underneath its operated position in northern Eddy County for $62.5 million or ~$10,400/ acre and ~$12,500/NRA. The royalty interest acquired is largely located underneath Novo operated acreage, and Novo will directly control the development pace.

In Q2 2021, Scala Energy, LLC's (another Fund X portfolio company) assets were acquired by Novo management. The assets had been previously managed by Novo since April 2020 via MSA.

Coming out of the Covid-induced downturn of 2020, Novo took advantage of the low service cost environment and improving commodity fundamentals, accelerating development activity to pull value forward through the drill bit on both the Novo and legacy Scala positions. By the beginning of 2023, the company had drilled and completed ~65 gross horizontal wells that were highly economic and allowed Novo to begin a robust distribution program from free cash flow which ultimately totaled $515.0 million. Given the constructive macro environment and receptive A&D market, and proper balance of PDP to remaining inventory, EnCap made the decision to market the assets.

On June 14, 2023, Novo signed an agreement to sell all its working interest properties to Earthstone Energy (NYSE: ESTE) and non-operated working interest partner, Northern Oil and Gas (NYSE: NOG) for total consideration of $1.5 billion in cash.

The assets being sold include ~17,000 net acres in the Delaware Basin in Eddy County, NM and Culberson County, TX and are currently producing ~57 Mboe/d (66% liquids).

On August 15, 2023, Novo closed on the previously announced transaction. Including distributions from Novo prior to the sale and accounting for holdback and other closing adjustments, the transaction generated a cash on cash realized return net to Fund X of 2.3x ROI at closing.

Recent Events

Novo continued to manage its portfolio of royalty assets that were excluded from the sale to Earthstone and Northern Oil and Gas. These assets consist of ~8,400 NRAs and represent substantial incremental value to Fund X. Current monthly royalty income is ~$7.0 - $8.0 million and the company will look to opportunistically monetize these retained assets when market conditions dictate.

Additionally, the company received the first holdback release from escrow on February 15, 2024, representing $33.75 million net to Fund X.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-16	$491,336	$1,208,820	$251,695	$1,460,515	2.97x	23.7%

PetroLegacy Energy II, LLC

Substantially Realized

Company Description

PetroLegacy II is a privately held, Austin-based independent oil and gas company focused on acquire-and-exploit opportunities with a specific focus on the South Texas Eagle Ford. The management team consists of Jason Churchill (CEO), Aaron Gutierrez (EVP of Asset Development & Engineering), JD Braddock (EVP of Business Development & Land), and Kris Simpson (CFO). Prior to the formation of PetroLegacy, certain members of the management team worked together in leadership roles at Fund VIII-backed Venado Oil & Gas. Mr. Churchill was previously VP of Operations at Venado and led the drilling of Venado's 40 Eagle Ford wells. Prior to Venado, Mr. Churchill led an operations engineering team within XTO Energy. Prior to joining Venado as Reservoir Engineering Manager in 2016, Mr. Gutierrez was the lead engineer across several asset areas at Samson Resources. Mr. Braddock was Land Manager at Venado and led the land acquisition efforts of more than 250,000 acres in the East Texas Eagle Ford and South Texas. He previously played a key role in the land function at Broad Oak Energy. Prior to joining PetroLegacy, Mr. Simpson served as CFO at Luxe Minerals and Luxe Energy, where he led the company's financial and business development efforts.

Transaction Summary

In July 2016, Fund X committed $149.7 million and management committed $0.3 million, providing a total equity commitment of $150 million to the company. The investment is structured in the form of common equity with Fund X receiving 99.8% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On March 13, 2017, PetroLegacy signed a PSA to acquire 20,088 net acres in Martin County, Texas from Pioneer Natural Resources for $266MM. The asset included PDP PV-10 of $38MM from current production of 1,440 Boe/d. After backing this value out of the purchase price, PetroLegacy acquired the position for an acreage value of ~$11,350/acre. Management closed on the acquisition in Q2 2017. In conjunction with the acquisition, PetroLegacy's total equity commitment was expanded from $150 million to $400 million (100% of the expansion net to Fund X).

On June 12, 2023, EnCap closed on the previously announced sales of Piedra III, Piedra IV, PetroLegacy and Black Swan's operated and non-operated properties in the Northern Midland Basin to Ovintiv Inc. (NYSE: OVV) for a total consideration of $4.36 billion ($3.24 billion in cash and $1.12 billion in stock). The equity consideration was priced off of a 5-day VWAP as of the 3/31/2023 close ($35.23 / share), which equates to 31.8 million shares of OVV common stock. After debt payoff, transaction fees, and post-closing adjustments, $2.3 billion was distributed to EnCap, representing a 1.72x cash ROI on $1.5 billion equity invested.

The combined assets being sold comprised of ~65,000 net acres primarily in Martin and Andrews counties with net production of ~75 MBoe/d (85% oil). In addition, all companies retained additional asset value in mineral and royalty interests that were excluded from the transaction.

PetroLegacy contributed ~25,000 net acres located in Martin County, TX to the sale and received ~$730 million in cash and ~10.0 million shares at closing. At closing, the transaction generated a cash on cash realized return net to Fund X of 1.6x ROI, excluding any value of the stock recieved.

Additionally, PetroLegacy retained ~5,000 NRAs that were excluded from the assets sold to Ovintiv.

During 3Q 2023, EnCap sold 15 million OVV shares through a secondary offering at an effective share price of $45.41/share. In aggregate, the sale generated ~$535 million in proceeds net to Funds IX, X, and

XI. PetroLegacy's allocated shares represent ~4.7 million of the shares sold and generated ~$186 million in proceeds net to Fund X.

During 3Q, 2023 the company additionally sold the retained ~5,000 NRAs that were excluded from the broader asset sale during the quarter to a private buyer for total cash consideration of ~$61 million.

Recent Events

During 4Q 2023 and early 2024, EnCap sold its remaining ~16.8 million OVV shares through two separate secondary offerings at an effective share price of $43.96/share. In aggregate, the sales generated ~$738 million in proceeds net to Funds IX, X, XI. PetroLegacy's allocated shares represented ~5.3 million shares and generated ~$191 million in proceeds net to Fund X. After the stock sale and minerals sale, PetroLegacy's cash on cash return is a 2.6x net to Fund X.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-16	$443,279	$1,155,911	$7,789	$1,163,700	2.63x	18.7%

Grayson Mill Energy, LLC

Fully Realized

Company Description

Grayson Mill Energy is a privately held, Houston-based independent oil and gas company focused on the acquisition and development of oil and gas properties in the Rockies region and South Texas. The Grayson Mill management team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdom (VP-Business Development). Mr. Bayes was most recently VP Operations with Oasis Petroleum ("Oasis"), where he managed the entirety of Oasis' operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company's Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdom previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdom worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC's successful strategy to enter the Wattenberg and Picance basins. The team has also been supplemented with technical members who have extensive industry experience in the Rockies. Grayson Mill will take a strong, data-driven and operational approach to identify, capture, and exploit assets in the underappreciated Rockies basins.

Transaction Summary

In October 2016, Fund X committed $174.4 million and management committed $0.7 million, providing a total equity commitment of $175.1 million to the company. The investment is structured in the form of common equity with Fund X receiving 99.6% of distributed cash until an 8% IRR and 1.20x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q2 2017, Grayson Mill entered the Powder River Basin through the acquisition of ~4,000 net acres from Abraxas. The company subsequently expanded its position through a series of low-cost acquisitions and leasing.

In Q4 2017, Grayson Mill divested ~19,000 net acres in the Powder River Basin to an incumbent operator for $27 million, which generated a 1.56x ROI on the divested acreage. The Board viewed this sale as a prudent way to mitigate risk given the project's capital exposure level and certain land surface issues on the divested acreage.

Grayson Mill had ~24,000 net acres in a consolidated block offset Devon's "Atlas West" project area prospective for multiple benches including the Niobrara and Turner formations. The company completed two Turner wells in Q4 2020 and Q4 2021 with results that met type curve expectations and yielded compelling economics in the current environment. However, this position proved to be difficult to scale and to allocate incremental capital to given unfavorable exit considerations in the Powder River Basin.

Over prior years, the company explored strategic alternatives including attracting a JV partner or an outright sale. In Q3 and Q4 2022, Grayson Mill ran an internal process to gauge market interest in an outright sale. Ultimately, EOG Resources presented the highest valuation, and in Q4 2022, Grayson Mill sold its assets to EOG for $35 million in cash consideration. In Q4 2023, the company made a subsequent distribution related to a cash holdback from this sale. Management will dedicate the entirety of its focus on the Bakken via Grayson Mill II and Grayson Mill III.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Oct-16	$58,733	$44,776	$0	$44,776	0.76x	(6.3)%

Royal Holly Energy, LLC

Fully Realized

Company Description

Royal Holly is a privately held, Tyler-based independent oil and gas company that will pursue the acquisition and development of oil and gas assets in the Ark-La-Tex Basin, primarily focusing on the liquids-rich Cotton Valley trend. Management is led by Greg Wood (President & CEO), Kevin Reed (EVP Land, BD, & Corporate Planning), Larry Tschirhart (VP Operations), David Rice (VP Engineering), and Nicholas Drumsta (VP Exploration). Management has an average of over 25 years of industry experience, and all members of management have dedicated a significant portion of their careers focused in the Ark-La-Tex, which provides Royal Holly with invaluable expertise and strong relationships in its focus area. Of note, Mr. Wood was a founding member and led all land and business development functions for three successful, NGP-backed companies (Classic I, II, and III) from 1998-2005 and later served as VP Land for Tanos Exploration I from 2008-2013. The three Classic entities each generated a minimum of a 4.0x ROI and returned a total of $240.0 million in proceeds on $40.0 million of invested capital. Mr. Tschirhart served as VP Operations for all three Classic entities and was most recently a Partner and VP Engineering for East Texas Oil & Gas. Mr. Reed served as Land Manager for Navidad Resources (Fund VI) from 2010-2013 and has served as the land and BD manager for Buffco Production since then, leading over $500.0 million in asset deals across multiple basins. Mr. Rice has extensive operations and reservoir experience in tight gas sands in East Texas and Oklahoma, specifically with JW-Operating and Amoco. Finally, Mr. Drumsta has held various technical and managerial positions for multiple operators including PetroQuest, which is actively drilling the Cotton Valley. Management will rely on subsurface data and historical well data to identify focus areas with key attributes that the team has found to be critical for success in the play. The team will then leverage its depth of relationships to capture a small but scalable position through a combination of acquisitions, leasing, and farm-ins.

Transaction Summary

In January 2017, Fund X committed $148.5 million and management committed $1.5 million, providing a total equity commitment of $150.0 million to the company. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR and 1.0x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Since inception, Royal Holly has executed on its strategy of capturing low-cost acreage positions with attractive horizontal upside in the liquids-rich area of the Cotton Valley in East Texas. In Q2 2017, Royal Holly closed on the acquisition of ~11,200 net acres in two distinct transactions. The first was the acquisition of ~4,200 net operated acres in Harrison and Marion counties, Texas in the Woodlawn Field. The second acquisition included ~7,000 net non-operated acres in the South Overton Field in Smith and Cherokee counties, Texas. In Q3 2017, Royal Holly acquired a third project in the Cotton Valley in the Willow Springs area, which includes ~3,700 net operated acres in Gregg and Harrison counties, Texas. Additionally, management reached an agreement on a "drill-to-earn" deal in the Woodlawn area. The acreage is intermingled and contiguous to the team's current acreage and represents ~7,000 gross acres of bolt-on Cotton Valley rights. The agreement was structured with minimal upfront capital exposure and future capital requirements.

Overall, the company's acreage position includes ~17,200 net acres (includes bolt-ons and leasing in the aforementioned project acres) that are substantially HBP and have a low cost basis of ~$310/acre after backing out PDP value. There are several horizontal rigs running in the Cotton Valley trend and permitting by offset operators continues.

After monitoring results from Royal Holly's first horizontal well, it became apparent that horizontal Cotton Valley drilling has more variability and risk than the company initially believed. As such, EnCap made the strategic decision to halt all activity. In Q1 2019, Royal Holly divested its assets to three separate buyers for ~$9 million in total. While disappointing, the opportunity set did not merit additional capital or G&A expense, and we believed it prudent to liquidate the company.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-17	$26,166	$8,704	$0	$8,704	0.33x	(46.4)%

Fortis Minerals - Oklahoma

Fully Realized

Company Description

Beginning in 2016 EnCap partnered with the Fortis management team through three separate Fund X ventures, Fortis I: $275 million commitment, $265 million invested, Fortis II: $350 million commitment, $335 million invested and Fortis III: $100 million commitment, $3.2 million invested.

Transaction Summary

During the investment period of Fortis I, II and III, the Fortis management team acquired mineral and overriding royalty interest in both the Permian and Anadarko basins with the majority of its capital being spent in the Permian. As part of our broader EnCap Mineral consolidation, we made the difficult decision to part ways with the Fortis Management team and consolidated all of the Fortis I, II and III Permian assets into EnCap Minerals. We excluded the remaining Fortis I and II Oklahoma assets from EnCap Minerals as these assets fall outside of the Permian Basin. These excluded assets, which reside in the STACK play of the Anadarko Basin and represent ~20,500 NRAs, have been consolidated into Fortis – Oklahoma and are currently being managed under a separate MSA with the Pegasus management team.

Post Investment Activity

During 4Q 2022, EnCap closed on the sale of its consolidated STACK mineral assets to 89 Energy for ~$230 million of total consideration. The Fortis Oklahoma mineral assets represented ~40% of the total consolidated assets sold to 89 Energy. The $230 million 8/8ths sales price translated to ~4.7x projected 2023 EBITDA and was meaningfully above the PDP PV-10 value of the assets, which at the time was ~$155 million at strip pricing. At closing on October 7, 2022, Fortis Oklahoma received $77.9 million of proceeds. In addition to the proceeds received at closing, EnCap received an additional ~$17 million of proceeds during 2023 from holdbacks and post-closing title defect curative payments.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-17	$161,268	$174,635	$0	$174,635	1.08x	1.7%

Staghorn Petroleum II, LLC ("Staghorn III")

Substantially Realized

Company Description

Staghorn Petroleum II ("Staghorn III") is a privately-held, Tulsa-based oil and gas company focused on the pursuit of sizeable, high-growth and/or emerging plays through a combination of (i) producing and non-producing property acquisitions, (ii) grass-roots leasing and (iii) farm-ins or joint ventures. The Staghorn III executive management team consists of Frank Eby (CEO), Peter Vail (CFO), Ken March (SVP of Geology), Jeff Frederick (VP of Asset Engineering) and Richard Eby (VP of Land & Business Development). Each team member has garnered significant industry experience and contacts from past roles at companies including Newfield Exploration, Apache Corporation, Vintage Petroleum, Staghorn Energy, LLC ("Staghorn I") and Staghorn Petroleum ("Staghorn II"). EnCap has known Mr. Eby for over a decade and formalized its partnership with him in 2007 via a $9.3 million equity investment in Staghorn I from Fund VI for a 25% ownership in the company. To date, Fund VI has realized a 2.6x cash-on-cash return on its investment in Staghorn I. Most recently, Mr. Eby and EnCap formed Staghorn II, which sold a portion of its assets to Apollo-backed Chisolm Oil and Gas Operating, LLC in 2017. This transaction provided Fund X with $373 million of total distributions, which implies a 2.3x cash-on-cash ROI (assuming no value given to Staghorn II's retained assets mentioned below) on Fund X's total investment in Staghorn II of $165 million.

Council Oak was a privately-held, Tulsa-based oil and gas company focused on building a portfolio of resource play assets through an early-stage and/or extensional lease-and-drill strategy throughout the Anadarko Basin. Council Oak was led by a group of five executive team members comprised of key technical and business talents from SM Energy (Rick Fritz – CEO/VP of Geology and Marlon Wells – VP of Operations), Petrohawk/BHP Billiton (Rick Deffenbaugh – VP of Land), Laredo Petroleum (Blake Herndon – CFO), and Newfield Exploration (Tim Phillips – Engineering Manager). Each management team member will play an integral role in Council Oak's decision-making process given their unique but highly complementary skill sets; however, the group will rely on Rick Fritz to harness the team's efforts, lead their discussions and ultimately cast the deciding vote. Management has played an integral role in the generation and subsequent development of numerous resource plays throughout their careers, including Newfield's prolific STACK play and a number of other sizeable, up-and-coming Anadarko Basin resource play concepts.

Transaction Summary

In May 2017, Fund X committed $291 million alongside a $9 million commitment from management for a total initial equity commitment of $300 million to Staghorn III. The investment is structured in the form of common equity with Fund X receiving 97% of distributed cash until an 8% IRR and 1.25x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Following the formation of Staghorn III, Staghorn II and Staghorn III entered into a mutually-beneficial joint venture allows management to continue creating value for the western STACK assets held by Staghorn II, while also adding to that position in Staghorn III. At formation, Staghorn II contributed its retained ~38k net acres to the joint venture and Staghorn III agreed to fund all future capital for leasing, acquisitions and development in exchange for equity ownership in the joint venture on a pro-rata basis.

In July 2015, Fund X committed $297.75 million to Council Oak and management committed $2.25 million, providing a total equity commitment of $300 million. The investment is structured in the form of common equity, with Fund X receiving 99.25% of distributed cash until an 8% IRR and 1.25x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In May 2019, EnCap closed on the consolidation of Council Oak's Anadarko Basin Osage Chert assets and the Arkoma Basin upstream and midstream assets under the management of Staghorn III. The assets consist of ~34k net acres in the Northwest STACK Extension Play and ~51k net acres in a second focus area, the Arkoma East STACK prospect. Council Oak also entered into a joint venture arrangement with Tall Oak Midstream III ("Tall Oak III"), an EnCap Flatrock portfolio company, whereby Council Oak dedicated all of its acreage position in the company's Arkoma East STACK prospect in exchange for a 20% interest in Tall Oak III's system that is focused on capturing acreage/volume dedications, as well as providing gas gathering and processing services.

In Q4 2019, EnCap and JP Morgan sold the working interest assets held in Staghorn II & Staghorn III to management for ~$24mm (~$22mm net to EnCap). The transaction closed in January, and Fund X received net proceeds to Staghorn III of $13.7 million.

In Q1 2021, Tall Oak III was sold to Tailwater Capital for cash consideration and a subordinated 5-year note totaling ~$13.8 million net to Fund X. This cash will be distributed over the next few years, and no other assets remain in the entity.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-17	$276,764	$29,997	$1,819	$31,816	0.11x	(32.8)%

Olifant Energy, LLC

Fully Realized

Company Description

Olifant Energy ("Olifant") is a privately-held, Tulsa-based independent oil and gas company. The Olifant executive management team will be led by Don Burdick (CEO) and Bill Martin (President/COO), two former key executive team members (VP – Geology and VP – Engineering, respectively) of Kayne Anderson-backed Panther Energy Company II. Burdick and Martin will be accompanied by Adam Robinson (VP – Land and Legal), Jesse Gilman (VP – Development), Mack Blackford (VP – Exploration), Chad Trainer (VP – Planning, Operations and Engineering), Ken Fayard (VP – Production and Production Accounting), Tate Pope (Reservoir Engineer), Bill Crabtree (Petrophysicist) and Todd Harrell (Chief Accounting Officer). The team has worked together extensively throughout their careers, with eight of the ten team members coming from Panther II and the other two being hand-selected based on previous work experience with Burdick or Martin. Each team member has garnered significant industry experience and expertise through their roles at large operators including Cimarex Energy, Newfield Exploration, SM Energy, Vintage Petroleum, ConocoPhillips, Laredo Petroleum, SK Plymouth, Samson Resources and QEP Resources. Olifant will focus on building an attractive acreage position through a lease-and-drill, play-expansion strategy in proven basins. While the team has the skills, experience and contacts to pursue opportunities across the Lower-48, they plan to initially focus on the Permian and Anadarko basins where members of the team have successfully built and monetized asset positions at Panther Energy Company II and Panther Energy Company I, respectively. The company will initially leverage all available data to identify overlooked expansion areas near established economic activity within these proven basins.

Transaction Summary

Olifant was formed in June 2017 with a $300 million total equity commitment comprised of $297 million from Fund X and $3 million from management. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR and 1.10x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Closed on the sale of its assets to U.S. Energy Development Corporation in October 2019, and Fund X received ~$11.3 million in net proceeds.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-17	$76,230	$11,219	$0	$11,219	0.15x	(64.6)%

ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

Section IV:
Financial Statements

ENCAP ENERGY CAPITAL FUND X, L.P.

FINANCIAL STATEMENTS

MARCH 31, 2024

ENCAP ENERGY CAPITAL FUND X, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

		March 31, 2024
ASSETS		
Investments, at fair value (cost $2,695,138,248)	$	5,351,233,000
Cash and cash equivalents		45,765,869
Accrued interest receivable		7,800,357
Total assets	$	5,404,799,226
LIABILITIES AND PARTNERS' CAPITAL		
Due to affiliate	$	969,265
Due to Limited Partners		2,910,657
Total liabilities		3,879,922
Partners' capital:		
General Partner		1,414,953,300
Limited Partners		3,985,966,004
Total partners' capital		5,400,919,304
Total liabilities and partners' capital	$	5,404,799,226

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X, L.P.

SCHEDULE OF INVESTMENTS

MARCH 31, 2024

	Shares or % owned	Cost	Fair Value	% of net assets
Private equity investment holdings:				
Moda Midstream, LLC	5.5%	$ 76,210	$ 716,000	0.0%
Tall Oak Woodford Holdings, LLC	9.4%	—	$ 1,819,000	0.0%
Staghorn Petroleum, LLC	100.0%	2,159,953	$ 4,208,000	0.1%
Verdun Oil Company, LLC	64.0%	273,255,872	$ 904,429,000	16.7%
AEP EnCap HoldCo, LLC	100.0%	30,401,245	$ 72,444,000	1.3%
Fortis Minerals Holdings, LLC	100.0%	416,544,586	$1,054,769,000	19.5%
Novo Oil & Gas Legacy Holdings, LLC	60.0%	70,946,304	$ 251,695,000	4.7%
Morita Ranches Holdings, LLC	96.0%	193,182,000	$ 291,798,000	5.4%
EnCap Minerals Holdings, LLC	16.7%	163,524,615	$ 562,399,000	10.4%
PetroLegacy II Holdings, LLC	99.8%	3,952,459	$ 7,789,000	0.1%
Ameredev II, LLC	97.4%	546,400,000	$ 844,575,000	15.6%
Mongoose Energy Holdings, LLC	100.0%	136,544,424	$ 13,753,000	0.3%
Enduring Resources IV, LLC	45.2%	298,571,428	$ 346,525,000	6.4%
Fortis Minerals Holdings III, LLC	100.0%	3,149,897	$ 5,609,000	0.1%
Grayson Mill Holdings II, LLC	33.3%	229,331,597	$ 655,892,000	12.1%
Public company investment holdings:				
Plains All American Pipeline, LP - 8% Perpetual Series A Convertible Preferred Units	12,678,560	327,097,658	$ 332,813,000	6.2%
Total investments		$2,695,138,248	$5,351,233,000	98.9%

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X, L.P.

STATEMENT OF OPERATIONS

	Three months ended March 31, 2024
Investment income:	
Dividend	$ 105,419,440
Interest	8,445,221
Total investment income	113,864,661
Expenses:	
Management fees	10,360,794
General and administrative	42,086
Total expenses	10,402,880
Net investment income	103,461,781
Realized and unrealized gain (loss) on investments:	
Net realized gain on investments	97,478,421
Net change in unrealized appreciation on investments	184,915,406
Net realized and unrealized gain on investments	282,393,827
Net increase in partners' capital resulting from operations	$ 385,855,608

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2023	$ 1,595,031,751	$ 3,782,268,823	$ 5,377,300,574
Capital distributions	(266,510,124)	(95,726,754)	(362,236,878)
Net increase in partners' capital resulting from operations	11,575,668	374,279,940	385,855,608
Incentive allocation	74,856,005	(74,856,005)	—
Partners' capital at March 31, 2024	$ 1,414,953,300	$ 3,985,966,004	$ 5,400,919,304

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X, L.P.

STATEMENT OF CASH FLOWS

	Three months ended March 31, 2024
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 385,855,608
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from investments	227,305,827
Realized gain on investments	(97,478,421)
Change in unrealized appreciation on investments	(184,915,406)
Change in operating assets and liabilities	
Increase (decrease) in due to affiliate	(178,250)
Increase (decrease) in due to Limited Partners	2,660,394
Net cash provided by operating activities	333,249,752
Cash flows from financing activities:	
Distributions to partners	(362,236,878)
Net cash used for financing activities	(362,236,878)
Net change in cash and cash equivalents	(28,987,126)
Cash and cash equivalents, beginning of period	74,752,995
Cash and cash equivalents, end of period	$ 45,765,869

The accompanying notes are an integral part of these financial statements.

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund X, L.P. (the "Partnership"), a Texas limited partnership, was formed on March 5, 2015 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated March 5, 2015, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund X GP, L.P. ("General Partner"), a Texas limited partnership, is the sole general partner for the Partnership. The Partnership's final close was on April 7, 2015. There are 339 investors owning the limited partnership interests ("Limited Partners", and collectively with the General Partner, the "Partners"). The General Partner's and Limited Partners' total capital commitments to the Partnership are $201 million and $6,500 million, respectively. The Partners' total outstanding commitments as of March 31, 2024 were approximately $264.5 million. The ratio of total contributed capital to total committed capital is 96.3%. The Partnership has committed $6,914.7 million to portfolio companies, of which $675.7 million remains unfunded at March 31, 2024.

EnCap Energy Capital Fund X-C, L.P. (the "C Feeder") and EnCap Energy Capital Fund X-D, L.P. (the "D Feeder"), affiliated funds, are investors in the Partnership. The C Feeder's and D Feeder's ownership in the Partnership's capital are 20.594743% and 4.855223%, respectively.

The Partnership shall be dissolved upon the expiration of a 10-year period ending March 5, 2025, unless the Advisory Board or greater than 80% of the Limited Partners agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be that market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, provided by multiple, independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price, recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

The following table presents the investments carried on the Statement of Assets, Liabilities and Partners' Capital by level within the valuation hierarchy as of March 31, 2024.

	Assets at Fair Value as of March 31, 2024			
	Level 1	Level 2	Level 3	Total
Investments:				
Private equity holdings	$ —	$ —	$ 5,018,420,000	$ 5,018,420,000
Preferred equity holdings	—	332,813,000	—	332,813,000
	$ —	$ 332,813,000	$ 5,018,420,000	$ 5,351,233,000

The following table summarizes the valuation methodology and significant unobservable inputs used for investments that are categorized within Level 3 of the fair value hierarchy as of December 31, 2023. The disclosure below excludes investments for which fair value is based on unobservable but non-quantitative inputs. Such items include investments for which the determination of fair value is based on prices from prior transactions or third party pricing information without adjustment.

Assets (at fair value)	**Fair Value at December 31, 2023**	**Valuation Techniques**(1)	**Unobservable Inputs**(2)	**Range of Inputs (Weighted Average)**
Investments in Equity of Privately Held Companies	$ 178,229,000	Precedent Transactions	Recent transaction price	N/A
	$ 4,785,103,000	Income Approach / Discounted Cash Flow Analysis	Discount rate	10%
			NYMEX forward strip oil pricing ($/BO)	$62.02-$71.52
			NYMEX forward strip gas pricing ($/MMBTU)	$2.68 - $3.85
			Risk adjusted PDP reserves	0%
			Risk adjusted PDNP reserves	20%
			Risk adjusted PUD reserves	20% - 90% (65%)
			Cash flow multiple	3.0x - 29.8x (10.3x)
		Value of Undeveloped Acreage (Upstream)	Price per acre	$ 750

(1) In determining certain of these inputs, the General Partner evaluates a variety of factors including economic conditions, industry and comparable companies and company specific developments including growth avenues, exit strategies and realization opportunities. The General Partner also evaluates the following unobservable inputs in considering the fair value of its investments: third party engineering reserve reports, oil and gas NYMEX future prices, risk-adjusted discount factors based on reserve category, capital expenditures and operating costs of the company, financial information obtained from each company including unaudited financial statements for the most recent period available, estimated financial performance and budget to actual variance analysis; current and projected financial condition of the company; current and projected ability of the company to service its debt obligations; type and amount of collateral, if any, underlying the investment; current financial ratios applicable to each investment; pending debt or capital restructuring of the company; projected operating results of the company; current information regarding any offers to purchase the investment; current ability of the company to raise any additional financing as needed. The General Partner has determined that market participants would take these inputs into account when valuing the investment. Once the General Partner has estimated the underlying entities' business enterprise value, a waterfall analysis of the entities' capital structure should be considered. Reserve categories are defined as follows: PDP - proved developed producing, PDNP - proved developed nonproducing, PUD - proved undeveloped, Prob - unproved probable, and Poss - unproved possible.

(2) Significant increases or decreases in any of the above unobservable inputs in isolation may result in a significant lower or higher fair value measurement, respectively.

During the three months ended March 31, 2024, there were no purchases of Level 3 investments. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the three months ended March 31, 2024, the Partnership did not have any transfers between any levels of the fair value hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of March 31, 2024, the Partnership has cash in its Fidelity money market account of $45,630,559. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on a trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2020. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of December 31, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments are as follows:

	Three months ended March 31, 2024	
	Contributions	Proceeds
Private equity investment holdings:		
Moda Midstream, LLC	$ —	$ 6,548,790
Felix Energy Investments II, LLC	—	693,650
AEP EnCap HoldCo, LLC	—	7,500,000
Novo Oil & Gas Holdings, LLC	—	33,300,000
OGX Holding IV, LLC	—	96,847,182
PetroLegacy II Holdings, LLC	—	81,722,501
Staghorn Petroleum II, LLC	—	693,704
	$ —	$ 227,305,827

During the three months ended March 31, 2024, the Partnership received additional sales proceeds from Felix Energy Investments II, LLC of $693,650, resulting in a realized gain of $693,650.

During the three months ended March 31, 2024, the Partnership received additional sales proceeds from Moda Midstream, LLC of $6,548,790 that was deemed a return of capital.

In March 2024, the Partnership received additional sales proceeds from AEP EnCap HoldCo, LLC, (formerly Advance Energy Partners Holdings, LLC) of $7,500,000, resulting in a realized gain of $4,220,000.

In February 2024, the Partnership received additional sales proceeds related to the sale of Novo Oil & Gas Holdings, LLC of $33,300,000, resulting in a realized gain of $6,498,093.

In January 2024, the Partnership received sales proceeds from OGX Holding IV, LLC from the sale of mineral interests in Morita Ranches Holdings, LLC (OGX IV-Quinn Ranch) in the amount of $96,847,182, resulting in a realized gain of $32,453,182.

During the three months ended March 31, 2024, the Partnership received additional sales proceeds from Staghorn Petroleum II, LLC of $693,704, resulting in a realized gain of $693,704.

In January 2024, the Partnership received proceeds from PetroLegacy II Holdings, LLC of $81,722,501 from the sale of 2,320,578 OVV shares, resulting in a realized gain of $52,919,823.

NOTE 4 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 3% to the General Partner and 97% to the Limited

Partners ("Partners' Sharing Ratio") until such time as the Limited Partners receive an 8% internal rate of return on their investment ("Preferred Return Payout"). After Preferred Return Payout is achieved, the General Partner is allocated 80% of the Limited Partner distributions and the Limited Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total Limited Partner net distributions from the Partnership ("Catch-Up Payout"). After Catch-Up Payout is achieved, the Limited Partners are distributed net cash distributions equal to 80% of their original respective ownership interests and the remaining 20% distributed to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent that the General Partner has received cumulative carried interest distributions in excess of amounts that would have been distributed to it pursuant to the formula set forth above applied on an aggregate basis covering all transactions of the Partnership, net of income taxes thereon. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase in partners' capital resulting from operations was allocated between the General Partner and Limited Partners in accordance with the allocation methodology described above. During the three months ended March 31, 2024, net increase in partners' capital resulting from operations allocated to the General Partner and Limited Partners was $86,431,673 and $299,423,935, respectively, which includes an unrealized incentive allocation to the General Partner of $74,856,005.

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to 1.5% of total partner commitments, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to 1.5% of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any write-down or write-off where the General Partner has determined that such portfolio investment will not be repaid or recouped by the Partnership. The initial management fee period expired on June 2, 2017 upon the activation of EnCap Energy Capital Fund XI, L.P. The management fee paid by the Partnership is reduced in the subsequent quarter by 100% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. During the three months ended March 31, 2024, the Partnership paid management fees of $10,360,794 to the General Partner.

During the three months ended March 31, 2024, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $257,094 for general and administrative expenses. At March 31, 2024, the Partnership owed $0 to EnCap for general and administrative expenses. At March 31, 2024, the Partnership owed certain required federal and state tax withholdings of $2,910,442 on behalf of certain Limited Partners.

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership's underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership's business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners' Capital.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2023, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	10.2%
Expense ratios:	
Operating expenses	1.0%
Unearned incentive allocation	3.1%
Operating expenses and unearned incentive allocation ratio	4.1%
Internal rate of return net of incentive allocation (Inception to December 31, 2023)	15.5%
Internal rate of return net of incentive allocation (Inception to December 31, 2022)	15.7%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND X-C, L.P. AND SUBSIDIARY

CONSOLIDATED FINANCIAL STATEMENTS

MARCH 31, 2024

ENCAP ENERGY CAPITAL FUND X-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

		March 31, 2024
ASSETS		
Investment in EnCap Energy Capital Fund X, L.P., at fair value	$	846,288,088
Cash and Cash Equivalents		9,628,483
Due from Limited Partners		3,405
Total assets	$	855,919,976
LIABILITIES AND PARTNERS' CAPITAL		
Due to affiliate	$	3,199,626
Taxes payable		1,139,051
Deferred tax liability		70,559,015
Total liabilities		74,897,692
Partners' capital:		
General Partner		—
Limited Partners		781,022,284
Total partners' capital		781,022,284
Total liabilities and partners' capital	$	855,919,976

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND X-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF OPERATIONS

	Three months ended March 31, 2024
Net investment income allocated from EnCap Energy Capital Fund X, L.P.:	
Investment income	$ 23,450,134
Investment expense	(2,142,446)
Net investment income allocated from EnCap Energy Capital Fund X, L.P.	21,307,688
Investment income:	
Interest	118,635
Total investment income	118,635
Expenses:	
General and administrative	15,666
Total expenses	15,666
Net investment income	21,410,657
Realized and unrealized gain (loss) on investments allocated from EnCap Energy Capital Fund X, L.P.:	
Net realized gain on investments	20,075,430
Net change in unrealized appreciation on investments	38,082,852
Allocation of unearned carried interest	(15,893,198)
Net realized and unrealized gain on investments allocated from EnCap Energy Capital Fund X, L.P.	42,265,084
Income before provision for income taxes	63,675,741
Provision for income taxes	3,772,232
Net increase in partners' capital resulting from operations	$ 59,903,509

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND X-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2023	$ —	$ 741,443,184	$ 741,443,184
Capital distributions	—	(20,324,409)	(20,324,409)
Net increase in partners' capital resulting from operations	—	59,903,509	59,903,509
Partners' capital at March 31, 2024	$ —	$ 781,022,284	$ 781,022,284

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND X-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CASH FLOWS

	Three months ended March 31, 2024
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 59,903,509
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from EnCap Energy Capital Fund X, L.P.	20,324,411
Net investment income allocated from EnCap Energy Capital Fund X, L.P.	(21,307,688)
Realized gain on investments	(20,075,430)
Change in unrealized appreciation on investments	(38,082,852)
Allocation of unearned carried interest	15,893,198
Change in operating assets and liabilities	
(Increase) decrease in taxes receivable	4,294,040
(Increase) decrease in due from Limited Partners	14,684
Increase (decrease) in due to affiliate	(938,960)
Increase (decrease) in taxes payable	1,139,051
Increase (decrease) in deferred tax liability	(1,660,859)
Net cash provided by operating activities	19,503,104
Cash flows from financing activities:	
Distributions to partners	(20,324,409)
Net cash used for financing activities	(20,324,409)
Net change in cash	(821,305)
Cash and cash equivalents, beginning of period	10,449,788
Cash and cash equivalents, end of period	$ 9,628,483

The accompanying notes are an integral part of these consolidated financial statements.

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund X-C, L.P. (the "Partnership"), a Cayman exempt limited partnership, was formed on March 5, 2015 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund X, L.P. ("Fund X"), a Texas limited partnership. Fund X was formed on March 5, 2015 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated March 5, 2015, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund X-C Cayman GP, LLC ("General Partner"), a Delaware limited liability company, is the sole general partner of the Partnership. The General Partner does not own an economic interest in the Partnership.

The Partnership's final close was on April 7, 2015. There are 63 investors owning the limited partnership interests ("Limited Partners") in the Partnership. The Limited Partners' total capital commitments to the Partnership are $1,380.1 million. The Limited Partners' total outstanding commitments as of March 31, 2024 were approximately $54.5 million. The ratio of total contributed capital to total committed capital is 96.3%.

As a limited partner in Fund X, the Partnership indirectly invests in all corresponding investments in Fund X and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund X partnership agreement. The financial statements of Fund X, including the Schedule of Investments, are attached to this report and should be read with the Partnership's consolidated financial statements. The Partnership's funded ownership interest in Fund X is 20.594743%. EnCap Energy Fund X-C, L.P. ("Blocker"), a wholly-owned subsidiary of the Partnership, was formed on March 5, 2015, for the purpose of being a limited partner of and holding record title to the limited partner interest in Fund X.

The Partnership shall be dissolved upon the dissolution of Fund X or the expiration of a 10-year period ending March 5, 2025, unless greater than 80% of the Limited Partners agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying consolidated financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Consolidation

Blocker is included in the accounts of the Partnership. All intercompany balances and transactions have been eliminated from the consolidated financial statements.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the consolidated financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of March 31, 2024, the investment in Fund X is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund X's valuation policies are discussed in Note 2 of the Fund X financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund X is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund X's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund X may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund X to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund X may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund X in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund X might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund X. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of March 31, 2024, the Partnership has cash in its Fidelity money market account of $9,628,483. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund X's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

The Partnership's consolidated financial statements include provisions for income tax expense and income taxes payable by its subsidiary, Blocker. In accordance with the FASB guidance "Income Taxes", Blocker provides for all income taxes payable and for deferred taxes arising from temporary differences between the book and tax bases of assets and liabilities using enacted tax rates and laws in effect in the years in which differences are expected to reverse. Income taxes paid and payable by Blocker are allocated to the Partners based on their respective sharing percentages in effect at the time of the respective expense or benefit is incurred. A valuation allowance is recognized for deferred tax assets if it is more likely than not that some or all of the deferred tax asset will not be realized.

The Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners. The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2020. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

The General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's consolidated financial statements as of March 31, 2024. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the three months ended March 31, 2024, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $28,746 for general and administrative expenses. At March 31, 2024, the Partnership owed EnCap $3,411 for general and administrative expenses. At March 31, 2024, the Partnership owed Fund X $3,291,666 related to flow through Oklahoma and Montana royalty withholding.

NOTE 5 – INCOME TAXES:

The Partnership's wholly owned corporate subsidiary, Blocker, recorded an income tax benefit of $1,932,738 during the year ended December 31, 2023. Set forth below is the reconciliation between taxes on income subject to taxation computed at the Federal statutory rate of 21% and the Partnership's reported provision for income taxes:

	December 31, 2023
Income before income taxes	$ 133,427,957
Nontaxable partnership loss	(56,642,865)
Income subject to taxation	$ 76,785,092
Income taxes at statutory rate	$ 16,124,869
State taxes	(17,674,770)
Other permanent items	(19,357)
Provision to return	(363,480)
Income tax expense	$ (1,932,738)

On August 16, 2022, the Inflation Reduction Act ("IRA") was signed into law and included various income tax related provisions with effective dates generally beginning in 2023. Among the enacted provisions are a 15% corporate alternative minimum tax ("CAMT") and several new and expanded clean energy credits and incentives. The CAMT will be assessed on applicable corporations with an average annual adjusted financial statement income that exceeds $1 billion for the preceding three consecutive years. The CAMT requires complex computations to be performed that were not previously required in U.S. tax law, significant judgments to be made in interpretation of the provisions of the IRA, significant estimates in calculations, and the preparation and analysis of information not previously relevant or regularly produced. The Partnership is still evaluating the full impact of this legislation and awaits further guidance and clarifications from the U.S. Treasury. The Partnership has considered the effects of the CAMT on the realizability of its deferred tax assets, carryforwards and other tax credits. CAMT did not have any impact on Blocker's financial statements for the year ending December 31, 2023.

The following table reflects the components of income tax expenses included in income from continuing operations:

	December 31, 2023
Current	
Federal	$ 83,917,686
State	33,106
Total Current	83,950,792
Deferred	
Federal	(68,170,936)
State	(17,712,594)
Total Deferred	(85,883,530)
Total income tax expense	$ (1,932,738)

The Partnership's deferred tax liability is comprised of the following:

	December 31, 2023
Net operating loss carryforwards	$ 15,487,569
State tax credit	98,901
Deferred interest deductions and other	30,768,177
	(13,778,046)
Deferred tax asset	32,576,601
Book versus tax basis difference in investments	(104,796,475)
Deferred tax liability	(104,796,475)
Net deferred tax asset/(liability)	$ (72,219,874)

The Partnership has no federal net operating loss carryforwards and state net operating loss carryforwards of $347,701,453 that expire beginning in 2035. As a result of The Tax Reform Act, federal net operating losses and certain state net operating losses generated in tax years beginning after December 31, 2017 can be carried forward indefinitely. Realization of deferred tax assets associated with net operating loss carryforwards is dependent upon generating sufficient taxable income prior to their expiration. Management believes that the weight of available evidence suggests that it is more likely than not that the state deferred tax asset will not be realized as of December 31, 2023 and have provided a full valuation allowance against the state deferred tax asset.

As of December 31, 2023, the Partnership has examined all material federal and state tax positions for all open tax years and is not aware of any uncertain tax positions requiring adjustments to our tax liability. If applicable, we will record to the income tax provision any interest and penalties related to unrecognized tax positions.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2023, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, “Financial Services – Investment Companies”:

Net investment income ratio	11.2%
Expense ratios:	
Expenses	1.0%
Unearned incentive allocation	3.4%
Expenses including unearned incentive allocation ratio	4.4%
Internal rate of return net of incentive allocation (Inception to December 31, 2023)	14.1%
Internal rate of return net of incentive allocation (Inception to December 31, 2022)	14.0%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The expense ratios include expenses allocated from Fund X and the effect of the income tax provision. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners’ capital account, net of all incentive allocations as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership’s investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND X-D, L.P.

FINANCIAL STATEMENTS

MARCH 31, 2024

ENCAP ENERGY CAPITAL FUND X-D, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	March 31, 2024
ASSETS	
Investment in EnCap Energy Capital Fund X, L.P., at fair value	$ 199,512,929
Cash and cash equivalents	3,741,238
Total assets	$ 203,254,167
LIABILITIES AND PARTNERS' CAPITAL	
Due to Limited Partners	$ 3,395,293
Total liabilities	3,395,293
Partners' capital:	
General Partner	—
Limited Partners	199,858,874
Total partners' capital	199,858,874
Total liabilities and partners' capital	$ 203,254,167

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X-D, L.P.

STATEMENT OF OPERATIONS

	Three months ended March 31, 2024
Net investment income allocated from EnCap Energy Capital Fund X, L.P.:	
Investment income	$ 5,528,383
Investment expense	(505,083)
Net investment income allocated from EnCap Energy Capital Fund X, L.P.	5,023,300
Investment income:	
Interest	88,924
Total investment income	88,924
Expenses:	
General and administrative	625
Total expenses	625
Net investment income	5,111,599
Realized and unrealized gain (loss) on investments allocated from EnCap Energy Capital Fund X, L.P.:	
Net realized gain on investments	4,732,795
Net change in unrealized appreciation on investments	8,978,055
Allocation of unearned carried interest	(3,746,831)
Net realized and unrealized gain on investments allocated from EnCap Energy Capital Fund X, L.P.	9,964,019
Net increase in partners' capital resulting from operations	$ 15,075,618

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X-D, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2023	$ —	$ 189,574,749	$ 189,574,749
Capital distributions	—	(4,791,493)	(4,791,493)
Net increase in partners' capital resulting from operations	—	15,075,618	15,075,618
Partners' capital at March 31, 2024	$ —	$ 199,858,874	$ 199,858,874

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X-D, L.P.

STATEMENT OF CASH FLOWS

	Three months ended March 31, 2024
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 15,075,618
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from EnCap Energy Capital Fund X, L.P.	4,791,492
Net investment income allocated from EnCap Energy Capital Fund X, L.P.	(5,023,300)
Realized gain on investments	(4,732,795)
Change in unrealized appreciation on investments	(8,978,055)
Allocation of unearned carried interest	3,746,831
Change in operating assets and liabilities	
Increase (decrease) in due to affiliate	(72,315)
Increase (decrease) in due to Limited Partners	(1,936,026)
Net cash provided by operating activities	2,871,450
Cash flows from financing activities:	
Distributions to partners	(4,791,493)
Net cash used for financing activities	(4,791,493)
Net change in cash and cash equivalents	(1,920,043)
Cash and cash equivalents, beginning of period	5,661,281
Cash and cash equivalents, end of period	$ 3,741,238

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X-D, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund X-D, L.P. (the "Partnership"), a Texas limited partnership, was formed on March 5, 2015 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund X, L.P. ("Fund X"), a Texas limited partnership. Fund X was formed on March 5, 2015 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated March 5, 2015, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund X-D GP, LLC ("General Partner"), a Delaware limited liability company, is the sole general partner of the Partnership. The General Partner does not own an economic interest in the Partnership.

The Partnership's final close was on April 7, 2015. There are 15 investors owning the limited partnership interests ("Limited Partners") in the Partnership. The Limited Partners' total capital commitments to the Partnership are $325.4 million. The Limited Partners' total outstanding commitments as of March 31, 2024 were approximately $12.8 million. The ratio of total contributed capital to total committed capital is 96.3%.

As a limited partner in Fund X, the Partnership indirectly invests in all corresponding investments in Fund X and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund X partnership agreement. The financial statements of Fund X, including the Schedule of Investments, are attached to this report and should be read with the Partnership's financial statements. The Partnership's funded ownership interest in Fund X is 4.855223%. The Partnership will participate in Fund X indirectly through EnCap Energy X-D, Inc. ("Fund X-D, Inc."). Fund X-D, Inc. will hold record title to the limited partnership interest in Fund X as a nominee for and behalf of the Partnership as described in the Agency Agreement. Beneficial ownership will remain with the Partnership, which will be treated as the owner of the Partnership interest in Fund X for U.S. federal income tax purposes.

The Partnership shall be dissolved upon the dissolution of Fund X or the expiration of a 10-year period ending March 5, 2025, unless greater than 80% of the Limited Partners agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of March 31, 2024, the investment in Fund X is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund X's valuation policies are discussed in Note 2 of the Fund X financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund X is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund X's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund X may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund X to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund X may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund X in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund X might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund X. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and cash equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I (“Fidelity money market account”), a money market fund which contains investments with weighted average maturities of three months or less. As of March 31, 2024, the Partnership has cash in its Fidelity money market account of $3,741,238. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership’s general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund X’s difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership’s tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2020. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership’s income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership’s general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership’s general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance “Income Taxes”, the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners’ capital. Based on the General Partner’s analysis, there are no material disclosures or adjustments impacting the Partnership’s financial statements as of March 31, 2024. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusion may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the three months ended March 31, 2024, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $10,267 for general and administrative expenses. At March 31, 2024, the Partnership owed EnCap $0 for general and administrative expenses. At March 31, 2024, the Partnership owed certain required federal and state tax withholdings of $3,395,293 on behalf of certain Limited Partners.

NOTE 5 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2023, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	10.2%
Expense ratios:	
Operating expenses	1.1%
Unearned incentive allocation	3.1%
Operating expenses and unearned incentive allocation ratio	4.2%
Internal rate of return net of incentive allocation (Inception to December 31, 2023)	15.4%
Internal rate of return net of incentive allocation (Inception to December 31, 2022)	15.6%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The expense ratios include expenses allocated from Fund X. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 6 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.